**OFFICIAL STATEMENT DATED NOVEMBER 17, 2020**

**NEW ISSUE** **Rating♦: S&P Global: AA (Insured)**
**A+ (Underlying)**

***Book-Entry-Only***

*In the opinion of Clark Hill, PLC, Bond Counsel, subject to compliance with certain covenants, under existing law, (1) the interest on the Bonds is excluded from gross income for federal income tax purposes except as described under "TAX MATTERS" herein, and interest on the Bonds is not an item of tax preference for purposes of the federal alternative minimum tax, and (2) the Bonds and the interest thereon are exempt from all taxation by the State of Michigan or a political subdivision thereof, except estate taxes and taxes on gains realized from the sale, payment or other disposition thereof. The Bonds have been designated as "Qualified Tax-Exempt Obligations" within the meaning of Section 265(b)(3) of the Internal Revenue Code of 1986.*

# $8,725,000
# CITY OF WARREN
# COUNTY OF MACOMB, STATE OF MICHIGAN
# PUBLIC UTILITY SYSTEM REVENUE BONDS, SERIES 2020

**AUTHORITY, PURPOSE, AND SECURITY:** The City of Warren Public Utility System Revenue Bonds, Series 2020 (the "Bonds") are being issued pursuant to the provisions of Act 94, Public Acts of Michigan, 1933, as amended ("Act 94"), and the Ordinance adopted by the City Council of the City of Warren on October 27, 2020 (the "Ordinance"). The Bonds are to be issued for the purpose of paying the cost of acquiring, constructing and equipping improvements to the Water Supply and Sewage Disposal System of the City (the "System"). The Bonds are payable soley from the Net Revenues of the System, and to secure such payment, there is a lien, made a statutory lien by Section 8 of Act 94, upon the whole of the Net Revenues which is a first lien to continue until payment in full of the principal of and interest on all Bonds payable from the Net Revenues. The statutory first lien referred to herein shall be of equal standing and priority with the City's future Outstanding Bonds, if any. The City has covenanted the rates shall be set so that there shall be Net Revenues in an amount equal to 120% of the principal of and interest on the Bonds coming due in each fiscal year.

**BOOK-ENTRY-ONLY:** At the option of the purchaser, the Bonds are issuable only as fully registered bonds without coupons, and when issued, will be registered in the name of Cede & Co., as Bondholder and nominee for the Depository Trust Company ("DTC"), New York, New York. DTC will act as securities depository for the Bonds. Purchases of beneficial interest in the Bonds will be made in book-entry-only form, in the denominations of $5,000 or any integral multiple thereof. Purchasers will not receive certificates representing their beneficial interest in Bonds purchased. So long as Cede & Co is the Bondholder, as nominee of DTC, references herein to the Bondholders or registered owners shall mean Cede & Co., as aforesaid, and shall not mean the Beneficial Owners of the Bonds. See "BOOK-ENTRY-ONLY SYSTEM" and Appendix E, "Draft Official Notice of Sale."

**PAYMENT OF BONDS**: Interest on the Bonds will be payable semi-annually on the first day of July and January of each year commencing July 1, 2021. The Bonds will be issued fully registered as to principal and interest in the denomination of $5,000 or any integral multiple thereof not exceeding the principal amount of each maturity. The principal and interest shall be payable at the principal corporate trust office of The Huntington National Bank in Grand Rapids, Michigan or other designated office, the Bond Registrar and Paying Agent, or such other Bond Registrar and Paying Agent as the City may hereafter designate. So long as DTC or its nominee, Cede & Co., is the Bondholder, such payments will be made directly to such Bondholder. Disbursement of such payments to the Beneficial Owners is the responsibility of DTC Participants and Indirect Participants, as more fully described herein. Interest shall be paid when due by check or draft mailed to the registered owner as shown on the registration books as of the fifteenth day of the month preceding the payment date for each interest payment.

BAM GREENSTAR The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under a municipal bond insurance policy to be issued concurrently with the delivery of the Bonds by BUILD AMERICA MUTUAL ASSURANCE COMPANY.

**Dated: December 9, 2020** **Principal Due: July 1** of each year as shown below

**MATURITY SCHEDULE**

**Base CUSIP◊: 935349**

| Year | CUSIP Number | Amount | Coupon Rate % | Yield % | Year | CUSIP Number | Amount | Coupon Rate % | Yield % | Year | CUSIP Number | Amount | Coupon Rate % | Yield % |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 2021 | AA8 | $195,000 | 5.000 | 0.400 | 2026 | AF7 | $275,000 | 5.000 | 0.750 | 2031* | AL4 | $340,000 | 3.000 | 1.490 ^ |
| 2022 | AB6 | 225,000 | 5.000 | 0.450 | 2027 | AG5 | 285,000 | 4.000 | 0.900 | 2032* | AM2 | 350,000 | 3.000 | 1.560 ^ |
| 2023 | AC4 | 235,000 | 5.000 | 0.500 | 2028 | AH3 | 300,000 | 4.000 | 1.000 | 2033* | AN0 | 360,000 | 3.000 | 1.630 ^ |
| 2024 | AD2 | 250,000 | 5.000 | 0.550 | 2029 | AJ9 | 310,000 | 4.000 | 1.100 | 2034* | AP5 | 370,000 | 2.000 | 1.930 ^ |
| 2025 | AE0 | 260,000 | 5.000 | 0.600 | 2030 | AK6 | 325,000 | 5.000 | 1.250 | 2035* | AQ3 | 375,000 | 2.000 | 2.010 |

**TERM BONDS**

| | | | |
|---|---|---|---|
| $780,000 | 2.250% | Term Bonds Due July 1, 2037* - Yield 2.000%^ | CUSIP: AS9 |
| 810,000 | 2.500% | Term Bonds Due July 1, 2039* - Yield 2.000%^ | CUSIP: AU4 |
| 850,000 | 2.125% | Term Bonds Due July 1, 2041* - Yield 2.250% | CUSIP: AW0 |
| 1,830,000 | 2.500% | Term Bonds Due July 1, 2045* - Yield 2.400%^ | CUSIP: BA7 |

*^ Priced to first call date, July 1, 2030*

# HUNTINGTON SECURITIES, INC

**QUALIFIED TAX-EXEMPT OBLIGATIONS**

***PRIOR REDEMPTION:** Bonds maturing in the years 2031 through 2045 are subject to optional redemption as described under the heading *Prior Redemption* herein.

**LEGAL OPINION:** Clark Hill, PLC

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♦As of Date of Delivery. See "BOND RATINGS" herein.

**CITY OF WARREN**
One City Square
Warren, Michigan 48093

# MAYOR
James R. Fouts

## ADMINISTRATION

*Controller*: Richard Fox
*City Clerk*: Sonja Djurovic Buffa
*Treasurer*: Lorie Barnwell

## CITY COUNCIL

*Council District 1*: Ron Papandrea
*Council District 2*: Jonathan Lafferty
*Council District 3:* Mindy Moore
*Council District 4*: Garry Watts
*Council District 5*: Eddie Kabacinski
*Council At-Large:* Pat Green
*Council At-Large:* Angela Rogensues

Bond Counsel ..... Clark Hill, PLC
Detroit, Michigan
Municipal Advisor ..... MFCI, LLC
Troy, Michigan
Paying Agent ..... The Huntington National Bank
Grand Rapids, Michigan

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**No dealer, broker, salesman or other person has been authorized by the City of Warren to give any information or to make any representation other than as contained in this Official Statement, and if given or made, such other information or representation must not be relied upon as having been authorized by the City. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale.**

**The information set forth in this Official Statement has been obtained from the City and other sources which are believed to be reliable, including The Depository Trust Company with respect to the information contained under the heading "Book-Entry-Only System," but is not guaranteed as to accuracy or completeness by, and is not to be construed as a representation by, the City.**

**The information and expressions of opinion in this Official Statement are subject to change without notice and neither the delivery of the Official Statement nor any sale made under it shall, under any circumstances, create any implication that there has been no change in the affairs of the City since the date of this Official Statement. The Transfer Agent has not participated in the preparation of this Official Statement and assumes no responsibility for it.**

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This Official Statement contains forward-looking statements, which can be identified by the use of the future tense or other forward-looking terms such as "may," "intend," "will," "expect," "anticipate," "plan," "management believes," "estimate," "continue," "should," "strategy," or "position" or the negatives of those terms or other variations of them or by comparable terminology. In particular, any statements express or implied, concerning future receipts of installments of special assessments or the ability to generate cash flow to service indebtedness are forward-looking statements. Investors are cautioned that reliance on any of those forward-looking statements involves risks and uncertainties and that, although the City's management believes that the assumptions on which those forward looking statements are based are reasonable, any of those assumptions could prove to be inaccurate. As a result, the forward-looking statements based on those assumptions also could be incorrect, and actual results may differ materially from any results indicated or suggested by those assumptions. In light of these and other uncertainties, the inclusion of a forward-looking statement in this Official Statement should not be regarded as a representation by the City or that its plans and objectives will be achieved. All forward-looking statements are expressly qualified by the cautionary statements contained in this paragraph. The City undertakes no duty to update any forward-looking statements.

Build America Mutual Assurance Company ("BAM") makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "Bond Insurance" and "Appendix I - Specimen Municipal Bond Insurance Policy".

# OFFICIAL STATEMENT OF THE
# $8,725,000
# CITY OF WARREN
# COUNTY OF MACOMB, STATE OF MICHIGAN
# PUBLIC UTILITY SYSTEM REVENUE BONDS, SERIES 2020

## INTRODUCTION

The purpose of this Official Statement is to set forth information concerning the City of Warren (the "City") Public Utility System Revenue Bonds, Series 2020 (the "Bonds"). The Bonds are to be issued for the purpose of paying the cost of acquiring, constructing and equipping improvements to the Water Supply and Sewage Disposal System of the City (the "System"). The information contained herein is presented in connection with the sale of the Bonds and for the information of those who initially became holders of the Bonds. Information describing the Bonds, summarized on the cover page, is part of this Official Statement.

## DESCRIPTION OF THE BONDS

The Bonds, aggregating the principal sum of $8,725,000, shall be known as "City of Warren Public Utility System Revenue Bonds, Series 2020" and shall be dated December 9, 2020. The Bonds shall be fully registered Bonds, both as to principal and interest, in any one or more denominations of $5,000 or a multiple of $5,000 numbered from 1 upwards regardless of rate and maturity date. The Bonds shall mature on July 1, 2021 and each July 1 thereafter, until maturity, as provided on the cover page of this Official Statement.

### Authorization

The Bonds are being issued pursuant to the provisions of Act 94, Public Acts of Michigan, 1933, as amended ("Act 94"), and the Ordinance adopted by the City Council of the City of Warren on October 27, 2020 (the "Ordinance").

### Qualification Under Section 265(b)(3) of the Internal Revenue Code of 1986

The Bonds have been designated by the City as "Qualified Tax-Exempt Obligations" within the meaning of Section 265(b)(3) of the Internal Revenue Code of 1986.

### Interest Payment and Interest Rate

The Bonds shall bear interest payable July 1, 2021, and semi-annually thereafter on each July 1 and January 1, until maturity, with an average interest rate not exceeding 5% per annum. Interest on the Bonds shall be computed using a 360-day year with twelve 30-day months. Interest shall be paid by check or draft mailed to the registered owner of each bond as of the applicable date of record.

### Mandatory Redemption of Term Bonds

The Bonds maturing on July 1, 2037, July 1, 2039, July 1, 2041, and July 1, 2045, are term bonds (the "Term Bonds") subject to mandatory redemption, in part, by lot, on the redemption dates and in the principal amounts set forth below and at a redemption price equal to the principal amount of such Bonds, without premium, together with interest on such Bonds to the redemption date. When Term Bond are purchased by the City and delivered to the Paying Agent for cancellation or are redeemed in a manner other than by mandatory redemption, the principal amount of the Term Bond affected shall be reduced by the principal amount of the Bonds so redeemed or purchased in the order determined by the City.

| Term Bond Maturing July 1, 2037 | |
|---|---|
| Redemption Dates | Principal Amounts |
| July 1, 2036 | 385,000 |
| July 1, 2037 | 395,000 |
| | $ 780,000 |

| Term Bond Maturing July 1, 2039 | |
|---|---|
| Redemption Dates | Principal Amounts |
| July 1, 2038 | 400,000 |
| July 1, 2039 | 410,000 |
| | $ 810,000 |

| Term Bond Maturing July 1, 2041 | |
|---|---|
| Redemption Dates | Principal Amounts |
| July 1, 2040 | 420,000 |
| July 1, 2041 | 430,000 |
| | $ 850,000 |

| Term Bond Maturing July 1, 2045 | |
|---|---|
| Redemption Dates | Principal Amounts |
| July 1, 2042 | 440,000 |
| July 1, 2043 | 450,000 |
| July 1, 2044 | 465,000 |
| July 1, 2045 | 475,000 |
| | $ 1,830,000 |

## Paying Agent and Bond Registrar

The City anticipates designating The Huntington National Bank, Grand Rapids, Michigan, as bond registrar and paying agent (the "Paying Agent") for the Bonds in connection with the issuance and initial delivery thereof. The Paying Agent will keep records of the registered holders of the Bonds, serve as transfer agent for the Bonds, authenticate the original and any re-issued Bonds and will pay principal and interest to the registered holders of the Bonds as shown on the registration books of the City maintained by the Paying Agent on the applicable date of record. The principal of each Bond will be paid when due upon presentation and surrender thereof to the Paying Agent. The date of record shall be the 15th day of the month before such payment is due. The City may from time to time as required designate a qualified successor bond registrar and paying agent. Alternatively, the City Treasurer may serve as bond registrar and paying agent for the Bonds if the City determines that it is in the best interest of the City.

## Prior Redemption

The Bonds maturing prior to July 1, 2031, shall not be subject to optional redemption prior to maturity. Bonds maturing on or after July 1, 2031, shall be subject to redemption prior to maturity at the option of the City, in any order, in whole or in part in integral multiples of $5,000 on any date on or after July 1, 2030. Bonds called for redemption shall be redeemed at par, plus accrued interest to the date fixed for redemption.

With respect to partial redemptions, any portion of a Bond outstanding in a denomination larger than the minimum authorized denomination may be redeemed provided such portion as well as the amount not being redeemed each constitute an authorized denomination. In the event that less than the entire principal amount of a Bond is called for redemption, upon surrender of the Bond to the Paying Agent, the Paying Agent shall authenticate and deliver to the registered owner of the Bond a new Bond in the principal amount of the principal portion not redeemed.

Notice of redemption shall be sent to the registered holder of each Bond being redeemed by first class mail at least thirty (30) but not more than sixty (60) days prior to the date fixed for redemption, which notice shall fix the date of record with respect to the redemption if different than otherwise provided in the Ordinance authorizing the issuance of the Bonds. Any defect in such notice shall not affect the validity of the redemption proceedings. Bonds so called for redemption shall not bear interest after the redemption date, provided funds are on hand with the Paying Agent to redeem the same.

## CUSIP Numbers

It is anticipated that CUSIP numbers will be printed on the Bonds, but neither the failure to print such numbers nor any improperly printed number shall constitute cause for the purchaser to refuse to accept

delivery of, or to pay for, the Bonds. All expenses for printing CUSIP numbers on the Bonds will be paid by the City, except that the CUSIP Service Bureau charge for the assignment of such numbers shall be the responsibility of and paid for by the purchaser.

## SOURCES AND USES OF FUNDS

| | | |
|---|---|---|
| **Sources of Funds** | | |
| Par Value of Bonds | $ | 8,725,000.00 |
| Original Issue Premium | | 691,747.75 |
| Issuer Cash Contribution | | 483,506.25 |
| **Total Sources** | **$** | **9,900,254.00** |
| **Uses of Funds** | | |
| Deposit to Construction Fund | $ | 9,202,593.62 |
| Deposit to Debt Service Reserve Fund | | 483,506.25 |
| Underwriter's Discount | | 106,133.20 |
| Estimated Costs of Issuance | | 108,020.93 |
| **Total Uses** | **$** | **9,900,254.00** |

## Description of the Project

### I. Projects at the Wastewater Treatment Plant

| Project | Estimated Cost |
|---|---|
| (A) Upgrade/Rehabilitation at Waste Water Treatment Plant of 4 Final Clarifiers (Nos. 5 thru 8) Work to include: installing troughs on the circumference of the clarifiers, installing new scum baffles and scum removal beach/arm, installing new clarifier mechanisms, installing algae removal systems, concrete repair of each of the tanks, new concrete sidewalks/access drive, new grating/railing and access stairs for splitter structure, new stainless steel drive control panels for each clarifier, replacement of the bridge support, and new stairways at each clarifier. | $7,200,000 |

### II. Water Main Replacement Projects

| | |
|---|---|
| Eureka (Stephens to 10 Mile Rd)<br>5280 feet of 8" water main replacement including service leads, stop boxes hydrants, and gate valve replacement. | $528,000 |
| 11 Mile (Dequindre to I-696)<br>1500 feet of 16" water main replacement including service leads, stop boxes, hydrants, and gate valve replacement. | $450,000 |
| Lafevere (8 Mile to Hayden)<br>550 feet of 8" water main replacement including service leads, stop boxes, hydrants, and gate valve replacement | $110,000 |

Period of Usefulness of the Projects: Not less than 30 years from the date of completion

## Project Cost Estimates

| | |
|---|---|
| Estimated Total Project Cost: | $ 8,288,000.00 |
| Estimated Financing Costs and Contingency: | 1,128,747.75 |
| Estimated Total Costs: | **$ 9,416,747.75** |

## SECURITY FOR THE BONDS

### Pledge of Revenues

The Bonds are payable solely from the revenues derived from the operation of the System, after payment of the expenses of administration, operation and maintenance of the System (the "Net Revenues"), and to secure such payment, there is a lien, made a statutory lien by Section 8 of Act 94, upon the whole of the Net Revenues which is a first lien to continue until payment in full of the principal of and interest on all Bonds payable from the Net Revenues. The statutory first lien referred to herein shall be of equal standing and priority with the City's future Outstanding Bonds, if any.

The City has covenanted the rates shall be set so that there shall be Net Revenues in an amount equal to 120% of the principal of and interest on the Bonds coming due in each fiscal year.

### Bond Proceeds

The proceeds of the sale of the Bonds shall be allocated and used as follows:

First, any premium, accrued interest, and the amount necessary to fund capitalized interest for the Series 2020 Bonds, if any, shall be deposited into the Bond and Interest Redemption Fund established by this Ordinance.

Second, an amount necessary to fully fund the Bond Reserve Account, if any is necessary, shall be deposited into the Reserve Account in the Bond and Interest Redemption Fund.

Third, the amount of funds necessary to pay the costs of the Project and the costs of issuance of the Series 2020 Bonds, as set forth in the Sale Order, shall be deposited in the Public Utility System Revenue Bonds Series 2020 Construction Fund. Moneys in the Construction Fund shall be applied solely in payment of the cost of the acquisition and construction of the Project, including any engineering expenses incident thereto. Any payments for construction, either on account or otherwise, shall not be made unless the registered engineer in charge of such work shall file with the City Council a signed statement to the effect that the work has been completed in accordance with the plans and specifications therefor; that it was done pursuant to and in accordance with the contract therefor (including properly authorized change orders), that the work is satisfactory and that any such work has not been previously paid for. The investment of the Bonds shall be limited as may be required by federal law.

Any unexpended balance of the proceeds of the sale of the Bonds remaining after completion of the Project in the Construction Fund shall in the discretion of the City Council be used either for further improvements, enlargements, and extension to the System, if, at the time of such expenditures, such use is approved by the Michigan Department of Treasury, if such permission is then required by law. Any remaining balance after such expenditure, or in the event no such expenditure is made, the entire unexpended balance shall be paid into the Bond and Interest Redemption Fund and used for the redemption or purchase of callable Bonds or for any other purpose permitted by Act 94. The proceeds of the sale of said bonds may be invested in whole or in part in the manner provided by Act 94.

### Rate Covenant

The rates presently in effect in the City are estimated to be sufficient to provide for the payment of the expenses of administration and operation and such expenses for maintenance of the System as are necessary to preserve the System in good repair and working order, to provide for the payment of the principal of and interest on the Bonds as the same become due and payable, and the maintenance of the

reserve therefor and to provide for all other obligations, expenditures, and funds for the System required by law and this Ordinance. In addition, the rates shall be set from time to time so that there shall be produced Net Revenues in an amount equal to 120% of the principal of and interest on the Bonds coming due in each fiscal year. The rates shall be reviewed not less than once a year and shall be fixed and revised from time to time as may be necessary to produce these amounts, and it is covenanted and agreed to fix and maintain rates for services furnished by the System at all times sufficient to provide for the foregoing.

**Bond Reserve Account**

The City has established a separate account in the Redemption Fund to be known as the Bond Reserve Account (the "Bond Reserve Account"). Upon delivery of the bonds, there shall be deposited from cash on hand in the system (not from bond proceeds) in the Bond Reserve Account an amount equal to the lesser of (1) the maximum annual debt service due in the current or any future year, (2) 125% of the average annual debt service or (3) 10% of the principal amount of the bonds. Interest on the Bond Reserve Account must be transferred into the Redemption Fund once the Reserve Amount has been reached.

The moneys credited to the Bond Reserve Account shall be used solely for the payment of the principal of, redemption premiums (if any) and interest on the Bonds as to which there would otherwise be a default. If at any time it shall be necessary to use moneys credited to the Bond Reserve Account for such payment, then the moneys so used shall be replaced from the Net Revenues first received thereafter which are not required for current principal and interest requirements until the amount on deposit equals the Reserve Amount. If additional Bonds are issued, each Ordinance authorizing the additional Bonds shall provide for additional deposits to the Bond Reserve Account to be made from the proceeds of the additional Bonds or Issuer funds on hand and legally available for such use in an amount that will result in the Bond Reserve Account being equal to the maximum annual principal and interest requirements on the Bonds outstanding after issuance of the additional Bonds, or such lesser amount as may be necessary to maintain the tax-exempt status of the Bonds. If, on any February 1st, the amount in the Bond Reserve Account exceeds the Reserve Amount, the excess shall be transferred to the Redemption Fund for payment of principal and interest on the Bonds due on that date.

For a complete description of the funds and accounts and flow of funds, reference is made to the Ordinance. See Appendix H "Ordinance Number 80-784".

**Additional Bonds**

If Additional Bonds are issued, each Ordinance authorizing the Additional Bonds shall provide for additional deposits to the Bond Reserve Account to be made from the proceeds of the Additional Bonds or Issuer funds on hand and legally available for such use in an amount that will result in the Bond Reserve Account being equal to the maximum annual principal and interest requirements on the Bonds outstanding after issuance of the additional Bonds, or such lesser amount as may be necessary to maintain the tax-exempt status of the Bonds. If on any February 1st, the amount in the Bond Reserve Account exceeds the Reserve Amount, the excess shall be transferred to the Redemption Fund for payment of principal and interest on the Bonds due on that date.

**Bondholders Rights**

The holder or holders of the Series 2020 Bonds representing in the aggregate not less than twenty percent (20%) of the entire principal amount thereof then outstanding, may, by suit, action, mandamus or other proceedings, protect and enforce the statutory lien upon the Net Revenues of the System, and may, by suit, action, mandamus or other proceedings, enforce and compel performance of all duties of the officers of the Issuer, including the fixing of sufficient rates, the collection of Revenues, the proper segregation of

the Revenues of the System and the proper application thereof. The statutory lien upon the Net Revenues, however, shall not be construed as to compel the sale of the System or any part thereof.

If there is a default in the payment of the principal of or interest on the Series 2020 Bonds, any court having jurisdiction in any proper action may appoint a receiver to administer and operate the System on behalf of the Issuer and under the direction of the Court, and by and with the approval of the Court to perform all of the duties of the officers of the Issuer more particularly set forth herein and in Act 94.

The holder or holders of the Series 2020 Bonds shall have all other rights and remedies given by Act 94 and law for the payment and enforcement of the Series 2020 Bonds and the security therefor.

For a complete description of the general covenants and provisions, see Appendix H "Ordinance Number 80-784".

## COVID-19 ISSUES

In response to the COVID-19 pandemic, Michigan Governor Gretchen Whitmer, pursuant to a series of Executive Orders beginning March 10, 2020, declared both a state of emergency and a state of disaster across the State of Michigan. The Governor has exercised broad authority under the Emergency Powers of the Governor Act, Act 302, Public Acts of Michigan, 1945, as amended ("Act 302") and the Emergency Management Act, Act 390, Public Acts of Michigan, 1976, as amended (Act 390").

Beginning March 23, 2020, by Executive Order, the Governor began issuing a series of "Stay Home, Stay Safe" Orders. These Orders directed all Michigan residents, businesses, and operations to temporarily suspend activities that are not necessary to sustain or protect life. On May 22, 2020, the State of Michigan began a phased reopening process by region. On June 1, 2020, the Governor announced the "Stay Home, Stay Safe" order for all regions would be lifted on June 8, 2020, with restrictions. Please see https://www.michigan.gov/coronavirus for the most up to date list of Executive Orders.

On October 2, 2020, the Michigan Supreme Court issued an opinion "In re Certified Questions from the United States District Court, Western District of Michigan, Southern Division (Midwest Institute of Health, PLLC v. Governor Docket No. 161492)". The Court stated the Governor lacked authority to declare a "state of emergency" or a "state of disaster" under Act 390 after April 30, 2020. Additionally, the Court stated Act 302 violated the state Constitution as an unconstitutional delegation of legislative powers and, therefore, "cannot continue to provide a basis for the Governor to exercise emergency powers". The Attorney General of the State of Michigan announced that she would no longer enforce the Executive Orders issued under Act 302 and Act 390.

On October 12, 2020, the Court reversed the portion of the Court of Appeal's ruling upholding the Governor's powers under Act 302 and remanding the Legislature's case to the Court of Claims for immediate entry of an order granting declaratory relief that the Governor's Executive Orders lacked authority under Act 302 and Act 390. The Court stated, "executive orders issued under [Act 302] are of no continuing legal effect."

On Friday, October 16, 2020, Governor Whitmer signed Senate Bill 1108, amending the Open Meetings Act to allow meetings of public bodies to be held electronically or with remote participation. The bill, now Public Act 228 of 2020, allows for electronic or "virtual" meetings with remote participation through 2020 for any reason and through the end of 2021 under local or state emergency declarations.

Under Public Act 228:

- Public bodies must provide for two-way communication so that public body members can hear one another. During the public comment period, public participants must also be able to hear public body members and be heard by other public participants. Public bodies may also use technology that allows public participants to submit typed comments such that they can be seen by all meeting participants.

- A physical location is not required for electronic/remote meetings. Members of a public body and public participants participating electronically are considered present and in attendance.

- Public bodies with an official internet presence must also post advance notice of an electronic meeting on its website such that the public can access it at least 18 hours before the start of the meeting. This notice must explain: why the public body is meeting electronically; how members of the public may participate in the meeting (including phones numbers, links, internet addresses, etc.); how public participants can contact public body members to ask or give input about upcoming business at the upcoming meeting; and how persons with disabilities can participate.

- Meeting agendas must be published on the public body website at least two hours before the start of the meeting. However, agendas may be amended at the meeting.

- Closed session meetings may also be held electronically.

Public Act 228 also validated all actions taken at public meetings held between April 30, 2020, and the effective date of Public Act 228

*Impact on the City, the Water and Sewer Fund, and the Bonds*

The City continues to operate its facilities, with additional personnel precautions and restrictions. The City cannot predict the effect the spread of COVID-19 will have on the City.

The Net Revenues of the City's Water and Sewer Fund have been pledged for the payment of principal and interest on the Bonds. During the "Stay Home, Stay Safe" Order, the City experienced a significant drop in water sold as major business customers were closed. After the restrictions of the "Stay Home, Stay Safe" Order were lifted, levels of water sold returned to normal levels. Overall, water volume sold for the fiscal year ended June 30, 2020, was down about 3.6% from the prior year. The City has experienced a small increase in payment delinquencies from customers. The amount owed to the City by water and sewer customers, as of June 30, 2020, increased about 2.1% year over year.

The City cannot predict the full effect of the spread of COVID-19 will have on water and sewer usage and payments from customers. Please see https://www.cityofwarren.org/covid-19-resources-information/ for additional information about the City's response to the pandemic.

The State of Michigan's finances and budget have been materially affected by COVID-19. The State is projecting a 12% decrease to revenues of the General Fund and School Aid Fund from the fiscal year 2019. Constitutional revenue sharing for the State's fiscal year 2020 has been reduced by about 6.1% from previous estimates, and projections for the fiscal year 2021 have been reduced by 12.1%. These reductions, along with other possible future reductions, will affect payments to many local units of

government, including the City. See "Revenues from the State of Michigan" in Appendix C herein for more information.

The spread of COVID-19 is altering the behavior of businesses and individuals in a manner that is negatively impacting economic activity nationally and locally. There can be no assurance that the spread of COVID-19 will not materially adversely affect the financial condition of the City, directly or indirectly, in the manner noted above or in other ways. The degree of such impact to the City and the Water and Sewer Fund is impossible to predict or quantify at this time due to the dynamic nature of the COVID-19 outbreak and the uncertainty of the State and federal responses thereto.

## BOOK-ENTRY-ONLY SYSTEM

At the option of the purchaser, DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17 A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name

of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Payments of principal, interest and redemption amounts, if any, on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City or the Paying Agent, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC (nor its nominee), Paying Agent, or City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payments of principal, interest and redemption amounts, if any, to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) are the responsibility of the City or Paying Agent, disbursement of such payments to Direct Participants shall be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners shall be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the City or Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

THE INFORMATION IN THIS SECTION CONCERNING DTC AND DTC'S BOOK-ENTRY SYSTEM HAS BEEN OBTAINED FROM SOURCES THAT THE CITY BELIEVES TO BE RELIABLE, BUT NEITHER THE CITY, BOND COUNSEL, FINANCIAL ADVISOR NOR THE UNDERWRITERS ASSUME ANY RESPONSIBILITY FOR THE ACCURACY THEREOF.

THE CITY AND THE CITY'S BOND COUNSEL OR FINANCIAL ADVISOR, THE UNDERWRITERS AND THE PAYING AGENT CANNOT AND DO NOT GIVE ANY ASSURANCES

THAT DTC, THE DIRECT PARTICIPANTS OR THE INDIRECT PARTICIPANTS WILL DISTRIBUTE TO THE BENEFICIAL OWNERS OF THE BONDS (I) PAYMENTS OF PRINCIPAL OF OR INTEREST AND PREMIUM, IF ANY, ON THE BONDS (II) ANY DOCUMENT REPRESENTING OR CONFIRMING BENEFICIAL OWNERSHIP INTERESTS IN BONDS, OR (III) REDEMPTION OR OTHER NOTICES SENT TO DTC OR CEDE & CO., ITS NOMINEE, AS THE REGISTERED OWNER OF THE BONDS, OR THAT THEY WILL DO SO ON A TIMELY BASIS OR THAT DTC, DIRECT PARTICIPANTS OR INDIRECT PARTICIPANTS WILL SERVE AND ACT IN THE MANNER DESCRIBED IN THIS OFFICIAL STATEMENT. THE CURRENT "RULES" APPLICABLE TO DTC ARE ON FILE WITH THE SECURITIES AND EXCHANGE COMMISSION AND THE CURRENT "PROCEDURES" OF DTC TO BE FOLLOWED IN DEALING WITH THE PARTICIPANTS ARE ON FILE WITH DTC.

NEITHER THE CITY, THE UNDERWRITERS NOR THE PAYING AGENT WILL HAVE ANY RESPONSIBILITY OR OBLIGATION TO ANY DIRECT PARTICIPANT, INDIRECT PARTICIPANT OR ANY BENEFICIAL OWNER OF ANY OTHER PERSON WITH RESPECT TO: (1) THE BONDS; (2) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT; (3) THE PAYMENT BY DTC TO ANY PARTICIPANT, OR BY ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT TO ANY BENEFICIAL OWNER OF ANY AMOUNT DUE WITH RESPECT TO THE PRINCIPAL OF, PREMIUM, IF ANY, OR INTEREST ON THE BONDS; (4) THE DELIVERY BY DTC TO ANY PARTICIPANT, OR BY ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT TO ANY BENEFICIAL OWNER OF ANY NOTICE WHICH IS REQUIRED OR PERMITTED UNDER THE TERMS OF THE BOND ORDINANCE TO BE GIVEN TO BONDHOLDERS; (5) THE SELECTION OF THE BENEFICIAL OWNERS TO RECEIVE PAYMENT IN THE EVENT OF ANY PARTIAL REDEMPTION OF THE BONDS; (6) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS BONDHOLDER.

**Discontinuation of Book-Entry-Only System**

DTC may determine to discontinue providing its service with respect to the Bonds at any time by giving notice to the City and the Paying Agent and discharging its responsibilities with respect thereto under applicable law. Upon the giving of such notice, the Paying Agent shall attempt to have established a securities depository/book-entry system relationship with another qualified depository. If the Paying Agent does not or is unable to do so, the book-entry-only system shall be discontinued.

**Transfer Outside Book-Entry-Only System**

In the event the book-entry-only system is discontinued, the Paying Agent shall keep the registration books for the Bonds (the "Bond Register") at its corporate trust office. Subject to the further conditions contained in the Ordinance, the Bonds may be transferred or exchanged for one or more Bonds in different authorized denominations upon surrender thereof at the corporate trust office of the Paying Agent by the registered owners or their duly authorized attorneys; upon surrender of any Bonds to be transferred or exchanged, the Paying Agent shall record the transfer or exchange in the Bond Register and shall authenticate replacement bonds in authorized denominations; the Paying Agent shall not be required to effect or register any transfer or exchange of any Bond which has been selected for such redemption, except the Bonds properly surrendered for partial redemption may be exchanged for new Bonds in authorized denominations equal in the aggregate to the unredeemed portion; and the City and Paying Agent shall be entitled to treat the registered owners of the Bonds, as their names appear in the Bond Register as of the appropriate dates, as the owner of such Bonds for all purposes under the Ordinance.

**Transfer or Exchange of Bonds**

Any Bond shall be transferable on the bond register maintained by the Paying Agent with respect to the Bonds upon the surrender of the Bond to the Paying Agent together with an assignment executed by

the registered owner or his or her duly authorized attorney in form satisfactory to the Paying Agent. Upon receipt of a properly assigned Bond, the Paying Agent shall authenticate and deliver a new Bond or Bonds in equal aggregate principal amount and like interest rate and maturity to the designated transferee or transferees.

Bonds may likewise be exchanged for one or more other Bonds with the same interest rate and maturity in authorized denominations aggregating the same principal amount as the Bond or Bonds being exchanged. Such exchange shall be effected by surrender of the Bond to be exchanged to the Paying Agent with written instructions signed by the registered owner of the Bond or his or her attorney in form satisfactory to the Paying Agent. Upon receipt of a bond with proper written instructions, the Paying Agent shall authenticate and deliver a new Bond or Bonds to the registered owner of the Bond or his or her properly designated transferee or transferees or attorney.

Any service charge made by the Paying Agent for any such registration, transfer or exchange shall be paid for by the City, unless otherwise agreed by the City and the Paying Agent. The Paying Agent may, however, require payment by a bondholder of a sum sufficient to cover any tax or other governmental charge payable in connection with any such registration, transfer or exchange.

## CONTINUING DISCLOSURE

The City has covenanted and will covenant for the benefit of the holders of the Bonds and the Beneficial Owners (as hereinafter defined) pursuant to the Ordinance and the Continuing Disclosure Certificate to be delivered on the date of issuance of the Bonds to the purchaser thereof (the "Disclosure Certificate"), to provide or cause to be provided: (i) each year, certain financial information and operating data relating to the City for its preceding fiscal year (the "Annual Report") by not later than the date Nine (9) months after the first day of its fiscal year, commencing with the Annual Report for the fiscal year ending June 30, 2020; provided, however, that if the audited financial statements of the City are not available by such date, they will be provided when and if available, and unaudited financial statements in a format similar to the audited financial statements then most recently prepared for the City will be included in the Annual Report; and (ii) timely notices of the occurrence of certain enumerated events, if material. Currently, the fiscal year of the City commences on July 1. "Beneficial Owner" means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including any person holding Bonds through nominees, depositories or other intermediaries).

Each Annual Report will be filed with the Municipal Securities Rulemaking Board ("MSRB") electronically through MSRB's Electronic Municipal Market Access system ("EMMA"). If the City is unable to provide the MSRB its Annual Report by the date required, the City shall send, in a timely manner, to the MSRB through EMMA, a notice of the failure to file the Annual Report by such date. Notices of material events will be filed by the City with the MSRB through EMMA. These covenants have been made by the City in order to assist the purchaser of the Bonds and registered brokers, dealers and municipal securities dealers in complying with the requirements of subsection of (b)(5) of Rule 15c2-12 promulgated by the Securities and Exchange Commission pursuant to the Securities Exchange Act of 1934, as amended (the "Rule"). The information to be contained in each Annual Report, the enumerated events, the occurrence of which will require a notice, and the other terms of the Disclosure Certificate are set forth in "Appendix G", "FORM OF CONTINUING DISCLOSURE CERTIFICATE".

A failure by the City to comply with the Disclosure Certificate will not constitute an event of default on the Bonds (although beneficial owners will have any available remedy at law or in equity). Nevertheless, such a failure must be reported in accordance with the Rule and must be considered by any broker, dealer or municipal securities dealer before recommending the purchase or sale of the Bonds in the secondary market. Consequently, such a failure may adversely affect the transferability and liquidity of the Bonds and their market price.

The City has not failed to comply in the last five years, in any material respect, with any previous undertakings pursuant to the Rule.

The City Controller has been designated as the responsible official for SEC 15c2-12 compliance for the City. The City also utilizes a third-party continuing disclosure dissemination agent to assist with ongoing compliance. The Controller has been made aware of the amendments to Rule 15c2-12, which became effective February 27, 2019, and is prepared to comply with all requirements of the Continuing Disclosure Certificate.

## BOND INSURANCE

### BOND INSURANCE POLICY

Concurrently with the issuance of the Bonds, Build America Mutual Assurance Company ("BAM") will issue its Municipal Bond Insurance Policy for the Bonds (the "Policy"). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

### BUILD AMERICA MUTUAL ASSURANCE COMPANY

BAM is a New York domiciled mutual insurance corporation and is licensed to conduct financial guaranty insurance business in all fifty states of the United States and the District of Columbia. BAM provides credit enhancement products solely to issuers in the U.S. public finance markets. BAM will only insure obligations of states, political subdivisions, integral parts of states or political subdivisions or entities otherwise eligible for the exclusion of income under section 115 of the U.S. Internal Revenue Code of 1986, as amended. No member of BAM is liable for the obligations of BAM.
The address of the principal executive offices of BAM is: 200 Liberty Street, 27th Floor, New York, New York 10281, its telephone number is: 212-235-2500, and its website is located at: www.buildamerica.com.

BAM is licensed and subject to regulation as a financial guaranty insurance corporation under the laws of the State of New York and in particular Articles 41 and 69 of the New York Insurance Law.

BAM's financial strength is rated "AA/Stable" by S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("S&P"). An explanation of the significance of the rating and current reports may be obtained from S&P at www.standardandpoors.com. The rating of BAM should be evaluated independently. The rating reflects the S&P's current assessment of the creditworthiness of BAM and its ability to pay claims on its policies of insurance. The above rating is not a recommendation to buy, sell or hold the Bonds, and such rating is subject to revision or withdrawal at any time by S&P, including withdrawal initiated at the request of BAM in its sole discretion. Any downward revision or withdrawal of the above rating may have an adverse effect on the market price of the Bonds. BAM only guarantees scheduled principal and scheduled interest payments payable by the issuer of the Bonds on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the Policy), and BAM does not guarantee the market price or liquidity of the Bonds, nor does it guarantee that the rating on the Bonds will not be revised or withdrawn.

*Capitalization of BAM*

BAM's total admitted assets, total liabilities, and total capital and surplus, as of September 30, 2020 and as prepared in accordance with statutory accounting practices prescribed or permitted by the New York State Department of Financial Services were $505.3 million, $158.1 million and $347.2 million, respectively.

BAM is party to a first loss reinsurance treaty that provides first loss protection up to a maximum of 15% of the par amount outstanding for each policy issued by BAM, subject to certain limitations and restrictions.

BAM's most recent Statutory Annual Statement, which has been filed with the New York State Insurance Department and posted on BAM's website at www.buildamerica.com, is incorporated herein by reference and may be obtained, without charge, upon request to BAM at its address provided above (Attention: Finance Department). Future financial statements will similarly be made available when published.

BAM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, BAM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding BAM, supplied by BAM and presented under the heading "BOND INSURANCE".

*BAM GreenStar Bonds*

The Bonds have been designated *BAM GreenStar Bonds* because BAM has determined that the use of bond proceeds by the Issuer as described in this Official Statement and in any additional information obtained by BAM aligns with one of the Green Bond Principles ("GBPs") developed by the International Capital Markets Association ("ICMA"). The GBPs were developed by the ICMA with the goal of establishing universally accepted guidelines for the issuance of green bonds, and one of the key requirements addresses the use of proceeds. BAM has been identified by the ICMA as an observer organization that is active in the field of green and/or social or sustainability finance and as a Climate Bond Initiative approved verifier. The GreenStar Credit Profile prepared by BAM for the Bonds will identify which of the following GBP categories applies to the Bonds:

- renewable energy
- energy efficiency
- pollution prevention and control
- environmentally sustainable management of living natural resources and land use
- terrestrial and aquatic biodiversity
- clean transportation
- climate change adaptation
- sustainable water and wastewater management
- green buildings

Each of the GBPs correlates to one of the following UN Sustainable Development Goals which will also be included in the GreenStar Credit Profile for the Bonds:

- clean water and sanitation
- affordable and clean energy
- sustainable cities and communities
- industry innovation and infrastructure

- responsible consumption and production
- climate action
- life below water
- life on land

*The Issuer makes no representation regarding the applicability of or suitability of the GreenStar designation. The term "GreenStar" is neither defined in, nor related to, the security documents relating to the Bonds. The GreenStar designation is solely for identification purposes and is not intended to provide or imply that the owners of the Bonds are entitled to any security other than that described in this official statement. The Issuer is under no contractual or other legal obligation to ensure compliance with any legal or other principles relating to "GreenStar" designation. The Issuer has made no commitment to provide ongoing reporting or information regarding the designation or compliance with the GBPs.*

The BAM GreenStar designation is based upon an assessment by BAM at the time of the issuance of the Bonds and such designation by BAM reflects only the views of BAM. BAM does not charge a fee in connection with the designation, does not perform an audit and undertakes no duty of due diligence or independent verification of any information it receives. The designation is provided on an "AS IS" basis and is based on BAM's own investigation, studies, assumptions, and criteria using its reasonable best efforts. In issuing its GreenStar designation, BAM has assumed and relied upon the accuracy and completeness of the information made publicly available by the Issuer or that was otherwise made available to BAM. BAM makes no representation or warranty, express or implied, including, but not limited to, the accuracy, results, timeliness, completeness, merchantability or fitness for any particular purpose with respect to the designation. A complete description of BAM GreenStar, and its limitations and terms of use, are available on BAM's website https://buildamerica.com/greenstar and https://buildamerica.com/terms-of-use and incorporated herein by reference. The BAM GreenStar designation is determined solely by BAM; it has not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for such designation.

BAM's GreenStar designation does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Bonds and is not a recommendation to any person to purchase, hold, or sell the Bonds. Such labeling does not address the market price, marketability or suitability of these Bonds for a particular investor. There is no assurance that the designation will be retained for any given period of time or that the designation will not be revised, suspended, or withdrawn by BAM if, in its judgment, circumstances so warrant.

*Additional Information Available from BAM*

**Credit Insights Videos.** For certain BAM-insured issues, BAM produces and posts a brief Credit Insights video that provides a discussion of the obligor and some of the key factors BAM's analysts and credit committee considered when approving the credit for insurance. The Credit Insights videos are easily accessible on BAM's website at http://www.buildamerica.com/videos. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

**Credit Profiles.** Prior to the pricing of bonds that BAM has been selected to insure, BAM may prepare a pre-sale Credit Profile for those bonds. These pre-sale Credit Profiles provide information about the sector designation (e.g. general obligation, sales tax); a preliminary summary of financial information and key ratios; and demographic and economic data relevant to the obligor, if available. Subsequent to closing, for any offering that includes bonds insured by BAM, any pre-sale Credit Profile will be updated and superseded by a final Credit Profile to include information about the gross par insured by CUSIP, maturity and coupon. BAM pre-sale and final Credit Profiles are easily accessible on BAM's website at

www.buildamerica.com/credit-profiles. BAM will produce a Credit Profile for all bonds insured by BAM, whether or not a pre-sale Credit Profile has been prepared for such bonds. (The preceding website address is provided for convenience of reference only. Information available at such address is not incorporated herein by reference.)

**Disclaimers.** The Credit Profiles and the Credit Insights videos and the information contained therein are not recommendations to purchase, hold or sell securities or to make any investment decisions. Credit-related and other analyses and statements in the Credit Profiles and the Credit Insights videos are statements of opinion as of the date expressed, and BAM assumes no responsibility to update the content of such material. The Credit Profiles and Credit Insight videos are prepared by BAM; they have not been reviewed or approved by the issuer of or the underwriter for the Bonds, and the issuer and underwriter assume no responsibility for their content.

BAM receives compensation (an insurance premium) for the insurance that it is providing with respect to the Bonds. Neither BAM nor any affiliate of BAM has purchased, or committed to purchase, any of the Bonds, whether at the initial offering or otherwise.

## BOND RATING

### S&P Global Ratings

S&P Global Ratings, acting through Standard & Poor's Financial Services, LLC. ("S&P"), has assigned, as of the date of delivery of the Bonds, its municipal bond rating of "AA" (stable outlook) to the Bonds with the understanding that the scheduled payment of principal and interest on the Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the Bonds. See "BOND INSURANCE" and "APPENDIX I – Specimen Municipal Bond Insurance Policy" herein.

S&P Global Ratings (hereafter "S&P"), will also assign, as of the date of delivery, an underlying municipal bond rating of "A+" to the Bonds.

The City furnished certain materials and information in addition to that provided herein. The rating is the sole view of S&P and is based on S&P's own research, analysis, and methodologies. There is no assurance that such rating will prevail for any given period of time or that it will not be revised downward or withdrawn entirely by such rating agency if, in its judgment, circumstances so warrant. Any such downward revision or withdrawal of such rating may have an adverse effect on the market price of the Bonds. Additional information is available upon request from S&P Global Ratings, 55 Water St., New York, NY 10014, (212) 438-1000.

## TAX MATTERS

### General

It is the opinion of Clark Hill, PLC. Bond Counsel, that under existing federal statutes, decisions, regulations and rulings, interest on the Bonds is excludable from gross income for federal income tax purposes. Interest on the Bonds is not an item of tax preference for purposes of the federal alternative minimum tax. The opinion set forth above is subject to the condition that the Issuer comply with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be (or continue to be) excluded from gross income for federal income tax purposes. Failure to comply with certain of such requirements could cause the interest on the Bonds to be so included in gross income retroactive to the date of issuance of the

Bonds. The Issuer has covenanted to comply with all such requirements. We express no opinion regarding other federal tax consequences arising with respect to the Bonds.

The Bonds have been designated as "Qualified Tax-Exempt Obligations" within the meaning of Section 265(b)(3) of the Internal Revenue Code of 1986.

Prospective purchasers of the Bonds should be aware that (i) interest on the Bonds is included in the effectively connected earnings and profits of certain foreign corporations for purposes of calculating the branch profits tax imposed by Section 884 of the Code, (ii) interest on the Bonds may be subject to a tax on excess net passive income of certain S Corporations imposed by Section 1375 of the Code, (iii) interest on the Bonds is included in the calculation of modified adjusted gross income for purposes of determining taxability of social security or railroad retirement benefits, (iv) the receipt of interest on the Bonds by life insurance companies may affect the federal tax liability of such companies, (v) in the case of property and casualty insurance companies, the amount of certain loss deductions otherwise allowed is reduced by a specific percentage of, among other things, interest on the Bonds, (vi) registered owners acquiring the Bonds subsequent to initial issuance will generally be required to treat market discount recognized under Section 1276 of the Code as ordinary taxable income, (vii) the receipt or accrual of interest on the Bonds may cause disallowance of the earned income credit under Section 32 of the Code, (viii) interest on the Bonds is subject to backup withholding under Section 3406 of the Code in the case of registered owners that have not reported a taxpayer identification number and are not otherwise exempt from backup withholding, and (ix) registered owners of the Bonds may not deduct interest on indebtedness incurred or continued to purchase or carry the Bonds, and financial institutions may not deduct that portion of their interest expense allocated to interest on the Bonds; however, financial institutions are not required to allocate a portion of their interest expense to interest on the Bonds under Section 265(b)(2) of the Code.

**Tax Treatment of Accruals on Original Issue Discount Bonds**

For federal income tax purposes, the difference between the initial offering prices to the public (excluding bond houses and brokers) at which a substantial amount of the Bonds initially sold at a discount as shown on the cover page hereof (the "**OID Bonds**") is sold and the amount payable at the stated redemption price at maturity thereof constitutes "original issue discount." Such discount is treated as interest excluded from federal gross income to the extent properly allocable to each registered owner thereof. The original issue discount accrues over the term to maturity of each such OID Bond on the basis of a constant interest rate compounded at the end of each six-month period (or shorter period from the date of original issue) with straight-line interpolations between compounding dates. The amount of original issue discount accruing during each period is added to the adjusted basis of such OID Bonds to determine taxable gain upon disposition (including sale, redemption, or payment on maturity) of such OID Bonds.

The Code contains certain provisions relating to the accrual of original issue discount in the case of registered owners of the OID Bonds who purchase such bonds after the initial offering of a substantial amount thereof. Registered owners who do not purchase such OID Bonds in the initial offering at the initial offering and purchase prices should consult their own tax advisors with respect to the tax consequences of ownership of such OID Bonds.

**Amortizable Bond Premium**

For federal income tax purposes, the difference between an original registered owner's cost basis of the Bonds initially sold at a premium as shown on the cover page hereof (the "**Original Premium Bonds**") and the amounts payable on the Original Premium Bonds other than stated interest constitutes an amortizable bond premium. The same applies with respect to any Bond, if a registered owner's cost basis exceeds the amounts payable thereon other than stated interest (collectively with the Original Premium

Bonds held by the original registered owners, "**Premium Bonds**"). Such amortizable bond premium is not deductible from gross income but is taken into account by certain corporations in determining adjusted current earnings for the purpose of computing the alternative minimum tax, which may also affect liability for the branch profits tax imposed by Section 884 of the Code. The amount of amortizable bond premium allocable to each taxable year is generally determined on the basis of the registered owner's yield to maturity determined by using the registered owner's basis (for purposes of determining loss on sale or exchange) of such Premium Bonds and compounding at the close of each six-month accrual period. The amount of amortizable bond premium allocable to each taxable year is deducted from the registered owner's adjusted basis of such Premium Bonds to determine taxable gain upon disposition (including sale, redemption or payment at maturity) of such Premium Bonds.

**Future Developments**

NO ASSURANCE CAN BE GIVEN THAT ANY FUTURE LEGISLATION OR CLARIFICATIONS OR AMENDMENTS TO THE CODE, IF ENACTED INTO LAW, WILL NOT CONTAIN PROPOSALS THAT COULD CAUSE THE INTEREST ON THE BONDS TO BE SUBJECT DIRECTLY OR INDIRECTLY TO FEDERAL OR STATE OF MICHIGAN INCOME TAXATION, ADVERSELY AFFECT THE MARKET PRICE OR MARKETABILITY OF THE BONDS, OR OTHERWISE PREVENT THE REGISTERED OWNERS FROM REALIZING THE FULL CURRENT BENEFIT OF THE STATUS OF THE INTEREST THEREON. FURTHER, NO ASSURANCE CAN BE GIVEN THAT ANY SUCH FUTURE LEGISLATION, OR ANY ACTIONS OF THE INTERNAL REVENUE SERVICE, INCLUDING, BUT NOT LIMITED TO, SELECTION OF THE BONDS FOR AUDIT EXAMINATION, OR THE AUDIT PROCESS OR RESULT OF ANY EXAMINATION OF THE BONDS OR OTHER BONDS THAT PRESENT SIMILAR TAX ISSUES, WILL NOT ADVERSELY AFFECT THE MARKET PRICE OF THE BONDS.

INVESTORS SHOULD CONSULT WITH THEIR TAX ADVISORS AS TO THE TAX CONSEQUENCES OF THEIR ACQUISITION, HOLDING OR DISPOSITION OF THE BONDS AND THE TAX CONSEQUENCES OF THE ORIGINAL ISSUE DISCOUNT OR PREMIUM THEREON, IF ANY.

## BOND HOLDERS' RISKS

The Federal Bankruptcy Code affects the rights and obligations of municipalities and their creditors. Although State legislative authority is a condition to the filing by municipalities of cases for relief under the Bankruptcy Code, recently enacted legislation empowers local governments, such as the City, to become a debtor under the Bankruptcy Code. This authorization would be invoked if fiscal circumstances become such an emergency financial manager were appointed for the City. No assurance can be given that future circumstances or legislation will not result in the City filing for relief under the Bankruptcy Code. Should the City file a petition for relief under the Bankruptcy Code, the bankruptcy court could reduce the amount of or extend the time of the City's legal obligation to pay its outstanding debts.

## LITIGATION

To the knowledge of the City, there is no controversy of any nature threatened or pending against the City, seeking to restrain or enjoin the issuance, sale, execution or delivery of the Bonds or in any way contesting or affecting the validity of the Bonds or any proceedings of the City taken with respect to the issuance or sale thereof, or the pledge or application of any moneys or security provided for the payment of the Bonds.

## APPROVAL OF LEGALITY

The approving opinion of Clark Hill, PLC, attorneys of Detroit, Michigan, will be furnished without expense to the purchaser of the Bonds at the delivery thereof.

## MICHIGAN DEPARTMENT OF TREASURY STATUS

The City has received a letter from the Michigan Department of Treasury stating that it is in material compliance with the criteria of Act No. 34, Public Acts of Michigan, 2001, as amended for a municipality to be granted qualified status. The City may proceed to issue the Bonds without further approval from the Department.

## FINANCIAL ADVISOR

MFCI, LLC of Troy, Michigan, (the "Municipal Advisor") is a Registered Municipal Advisor in accordance with the rules of the Municipal Securities Rulemaking Board ("MSRB"). The Municipal Advisor has been retained by the City to provide certain financial advisory services relating to the planning, structuring, and issuance of the Bonds, including preparation of certain parts of the deemed "final" Preliminary Official Statement and the final Official Statement (the "Official Statements"). The information contained in the Official Statements was prepared in form by the Municipal Advisor and is based on information supplied by various officials from records, statements, and reports required by various local, City, or state agencies of the State of Michigan, in accordance with constitutional or statutory requirements.

To the best of the Municipal Advisor's knowledge, all of the information contained in part of the Official Statements, which it assisted in preparing, while it may be summarized is (i) complete and accurate; (ii) does not contain any untrue statement of a material fact; and (iii) does not omit any material fact, or make any statement which would be misleading in light of the circumstances under which these statements are being made. However, the Municipal Advisor has not and will not independently verify the completeness and accuracy of the information contained in the Official Statements.

The Municipal Advisor is not engaged in the business of underwriting, trading, marketing, or the distribution of securities or any other negotiable instruments. The Municipal Advisor's duties, responsibilities, and fees arise solely as Registered Municipal Advisor to the City, and it has no secondary obligation or other responsibility. The Municipal Advisor's fees are expected to be paid from Bond proceeds.

## RESPONSIBILITIES OF BOND COUNSEL

Bond Counsel has reviewed the statements made in this Official Statement under the captions "DESCRIPTION OF THE BONDS" (except under the subcaption "Book-Entry-Only"), "SECURITY FOR THE BONDS", "CONTINUING DISCLOSURE" (first two paragraphs only), "TAX MATTERS", "APPROVAL OF LEGALITY" AND "RESPONSIBILITIES OF BOND COUNSEL", but has not been retained to review and has not reviewed any other portion of this Official Statement. Bond Counsel has not made inquiry of any official or employee of the City or any other person with respect to, or otherwise made any independent verification of, the accuracy or completeness of any statement made in this Official Statement (including those that it has reviewed) and has not expressed and will not express an opinion as to the accuracy or completeness of any statement made herein.

Except as stated in the immediately preceding paragraph and to the extent necessary to render its approving opinion respecting the validity of the Bonds and the exemption of the Bonds and the interest thereon from taxation, Bond Counsel has not been retained to examine or review, and has not examined or reviewed, any financial documents, statements or other materials that have been or may be furnished in

connection with the authorization, marketing or issuance of the Bonds and, therefore, will not express an opinion with respect to the accuracy or completeness of any such documents, statements or other materials.

The fees of Bond Counsel for services rendered in connection with its approving opinion are expected to be paid from Bond proceeds or other funds available to the City.

## MISCELLANEOUS

Any statements made in this Official Statement involving matters of opinion or of estimates, whether or not so expressly stated, are set forth as such and not as representations of fact, and no representation is made that any of the estimates will be realized.

**CITY OF WARREN, STATE OF MICHIGAN**

**By: /s/Richard Fox_____**
**Richard Fox**
**Its: Controller**

# Appendix A
# CITY OF WARREN
# WATER & SEWER SYSTEM GENERAL AND DEBT INFORMATION

## ABOUT THE SYSTEM

The Water & Sewer System's functions include the financing, acquisition, operation, and maintenance of an adequate water supply and a wastewater treatment facility for the benefit of the citizens and business community in the City of Warren. The System services about 50,000 water and sewer customer accounts. The City purchases wholesale water from Great Lakes Water Authority.

The City's Water Recovery Facility was originally designed in 1957. Since that time, it has undergone considerable changes and has become one of the leaders in wastewater treatment in the state. The City now has a state-of-the-art treatment plant with a design capacity of 50 MGD per day and can handle a peak flow during a wet weather event of 100 MGD. The City of Warren Water Recovery Facility regularly treats 22 MGD of wastewater. The average City resident creates 350 gallons a day of wastewater.

Water Maintenance services include the maintenance and repair of the water mains throughout the City, water service installation, service repairs, responses to requests from the Miss Dig system, gate valve maintenance, hydrant repair and maintenance. Sewer Maintenance services include televising, cleaning, jetting, and vactoring of the main sewers.

Shared Services consists of accounting, engineering, and customer service personnel, supporting the Water & Sewer Maintenance and Wastewater Treatment Plant. The accounting function is responsible for verifying that all financial activities for the Water & Sewer System are accurately entered in the System's financial records. Engineering personnel draft, inspect, and implement infrastructure projects throughout the City that are related to the Water & Sewer System. Customer Service handles all questions regarding water bills, landlord and tenant arrangements, and bankruptcies as it relates to customer accounts, water taps, meter installations, repairing or replacing stop boxes, plugged main sewers, and the availability of water and sewer service.

The Wastewater Treatment Plant staff's responsibilities include plant operations, plant maintenance, laboratory operations, Industrial Pretreatment Monitoring and Enforcement, employee safety, grounds maintenance, and administrative support.

## HISTORY OF WATER PURCHASED AND SOLD

| Fiscal Year End | Avg. Number of Water Customers | Water Purchased (thousand cu. ft.) | Water Sold (thousand cu. ft.) |
|---|---|---|---|
| 2021 (b) | 49,675 | 666,731 | 619,163 |
| 2020 | 49,675 | 617,013 | 569,733 |
| 2019 | 49,656 | 634,010 | 590,888 |
| 2018 | 49,685 | 669,744 | 622,872 |
| 2017 | 49,532 | 717,451 | 646,336 |
| 2016 | 49,076 | 670,703 | 648,699 |
| 2015 | 49,639 | 722,554 | 637,952 |

*(b): Budget*

*Source: City of Warren*

## AVERAGE AND PEAK DAILY USAGE

The average and peak daily usage, in water units, of the water and sewer system is as follows:

**Average Daily Usage**

| FY ended June 30, | Water* | Sewer* |
|---|---|---|
| **2019** | 16,188.72 | 14,794.62 |
| **2018** | 17,064.99 | 15,408.58 |
| **2017** | 17,702.82 | 15,895.61 |

* 1 unit of water = 748 gallons

**Peak Usage**

| FY ended June 30, | Water* | Sewer*# |
|---|---|---|
| **2019** | 24,087.27 | 133,867.00 |
| **2018** | 26,381.30 | 122,133.00 |
| **2017** | 25,234.28 | 93,333.00 |

* 1 unit of water = 748 gallons
# includes storm water

*Source: City of Warren*

## CLASSIFICATIONS OF CUSTOMERS

Classification of customers by type, as of September 1, 2020. The actual number of customers varies slightly month by month.

| Type | Number of Accounts |
|---|---|
| Residential | 46,332 |
| Commercial | 2,786 |
| Industrial | 1,004 |
| | 50,122 |

*Source: City of Warren*

## MAJOR USERS

The following are the ten largest water and sewer customers for the fiscal year ended June 30, 2020.

| Customer | Volume of Water Used* | Amount Billed |
|---|---|---|
| Chrysler | 404,632 | $ 1,847,947 |
| General Motors | 350,237 | 1,714,137 |
| Everfresh | 95,828 | 631,806 |
| Ascension Health Alliance | 63,531 | 533,202 |
| Dana Limited | 31,363 | 270,334 |
| Macomb Community College | 22,523 | 241,809 |
| US Army Tacom | 21,097 | 182,028 |
| Sun Communities | 16,356 | 135,122 |
| Henkel | 15,808 | 131,364 |
| Autumn Woods Care | 13,820 | 119,185 |
| | 1,035,195 | $ 5,806,933 |

*1 unit of water = 748 gallons

*Source: City of Warren*

## BILLING AND COLLECTION PROCEDURES

All customers are billed monthly. All bills are mailed around the fifteenth of the ensuing month from usage and are due by the end of the month. Failure to pay the balance due on an account by the stated due date will subject the entire outstanding balance to a penalty of 3%. Each April, accounts with past due balances from the prior calendar year will be notified on their utility bill. Any amounts unpaid by April 30th will be transferred to the tax roll and collected as a property lien. A collection fee of 17% will be added to any amounts transferred to the tax roll.

The amount owed to the Water & Sewer System from customers increased by about 2.1% as of June 30, 2020 ($2,972,175.78), from the previous fiscal year-end ($2,909,863.77).

*Source: City of Warren*

## WATER AND SEWER RATE SCHEDULE

The rate schedule and adjustments made over the last five years are as follows:

| Fiscal Year | Service | Charge | |
|---|---|---|---|
| 2021 | Water: | $ 4.106 | Per 100 cubic feet |
| | Sewer (Treatment): | $ 3.431 | Per 100 cubic feet |
| | Sewer (Improvements): | $ 0.974 | Per 100 cubic feet |
| 2020 | Water: | $ 4.021 | Per 100 cubic feet |
| | Sewer (Treatment): | $ 3.108 | Per 100 cubic feet |
| | Sewer (Improvements): | $ 0.674 | Per 100 cubic feet |
| 2019 | Water: | $ 3.837 | Per 100 cubic feet |
| | Sewer (Treatment): | $ 2.967 | Per 100 cubic feet |
| | Sewer (Improvements): | $ 0.674 | Per 100 cubic feet |
| 2018 | Water: | $ 3.490 | Per 100 cubic feet |
| | Sewer (Treatment): | $ 2.592 | Per 100 cubic feet |
| | Sewer (Improvements): | $ 0.674 | Per 100 cubic feet |
| 2017 | Water: | $ 3.431 | Per 100 cubic feet |
| | Sewer (Treatment): | $ 2.412 | Per 100 cubic feet |
| | Sewer (Improvements): | $ - | Per 100 cubic feet |

In fiscal year 2021, the fixed-rate meter service charge is $0.84 per month for accounts with a 5/8" service meter. The fixed-rate sewer service charge is $2.03 per month for accounts with a 5/8" service meter.

The average customer monthly water and sewer bill is $87.78 or about ten consumptions (one consumption is about 748 gallons).

*Source: City of Warren*

## WATER AND SEWER FUND NET POSITION

The System's net position for the last five years was as follows:

| Fiscal Year Ended June 30, | Net Position |
|---|---|
| 2019 | $ 78,602,685 |
| 2018 | 76,774,814 |
| 2017 | 77,302,770 |
| 2016 | 72,558,832 |
| 2015 | 72,546,871 |

Fiscal year 2020 Net Position data is pending the completion of the fiscal year 2020 financial audit.

*Source: City of Warren*

## HISTORICAL REVENUES, EXPENDITURES, AND COVERAGE – WATER AND SEWER FUND
**Revenue Bonds Only**

The City refunded all remaining Act 94 Bonds with a legal pledge of system revenues on November 1, 2012. The following table does not include Capital Improvement Bonds paid from the City's Water and Sewer Fund with no pledge of system revenues.

| Fiscal year ended June 30, | Operating Revenues | Operating Expenses | Net Operating Income (loss) | Net Non Operating Income (Loss)[5] | Net Earnings or (Loss) | Add Back Annual Depreciation | Add Back Interest Expense[5] | Annual Income Available for Debt Service | Annual Debt Service Requirements[4] | Annual Coverage |
|---|---|---|---|---|---|---|---|---|---|---|
| 2011 [1] | 37,288,056 | 30,407,258 | 6,880,798 | (2,341,797) | 4,539,001 | 4,084,029 | 1,750,605 | 10,373,635 | 4,007,088 | 2.59 |
| 2012 [1] | 38,427,954 | 30,968,036 | 7,459,918 | (1,860,142) | 5,599,776 | 4,203,371 | 1,988,269 | 11,791,416 | 2,738,593 | 4.31 |
| 2013 [1] | 40,839,611 | 31,801,760 | 9,037,851 | (2,006,424) | 7,031,427 | 4,040,451 | 2,608,336 | 13,680,214 | 1,731,056 | 7.90 |
| 2014 [1] | 38,541,038 | 32,605,213 | 5,935,825 | (2,279,698) | 3,656,127 | 4,483,579 | 2,569,620 | 10,709,326 | - | - |
| 2015 [2] | 55,669,322 | 54,025,993 | 1,643,329 | (4,109,806) | (2,466,477) | 7,315,097 | 4,263,745 | 9,112,365 | - | - |
| 2016 | 40,682,519 | 37,919,222 | 2,763,297 | (2,751,336) | 11,961 | 5,291,192 | 2,667,217 | 7,970,370 | - | - |
| 2017 | 44,240,520 | 36,732,696 | 7,507,824 | (2,763,886) | 4,743,938 | 5,501,576 | 2,608,336 | 12,853,850 | - | - |
| 2018 | 47,670,569 | 28,309,003 [6] | 19,361,566 | (2,725,755) | 16,635,811 | 5,506,203 | 3,725,067 | 25,867,081 | - | - |
| 2019 | 49,598,358 | 48,360,980 [6] | 1,237,378 | (1,569,924) | (332,546) | 5,557,339 | 3,824,616 | 9,049,409 | - | - |
| 2020 [3] | 50,139,140 | 47,209,726 | 2,929,414 | Not Available | Not Available | 5,660,229 | Not Available | Not Available | - | - |

[1] Fiscal year ended December 31 of the previous year

[2] Fiscal year ended June 30, 2015 plus January 1, 2014 - June 30, 2014

[3] Estimate, Results not yet final

[4] All outstanding Revenue Bonds issued under Act 94 were called on 11/01/2012

[5] Includes interest expense and amortization of bond premium.

[6] Difference in Operating Expenses due to accounting recognition of VEBA and Pension expense credits.

## HISTORICAL REVENUES, EXPENDITURES, AND COVERAGE – WATER AND SEWER FUND
**All Bonds paid from the Water and Sewer Fund**

The City refunded all remaining Act 94 Bonds with a legal pledge of system revenues on November 1, 2012. The following table includes Capital Improvement Bonds paid from the City's Water and Sewer Fund with no pledge of system revenues.

| Fiscal year ended June 30, | Operating Revenues | Operating Expenses | Net Operating Income (loss) | Net Non Operating Income (Loss) | Net Earnings or (Loss) | Add Back Annual Depreciation | Add Back Interest Expense[5] | Annual Income Available for Debt Service | Annual Debt Service Requirements[4] | Annual Coverage |
|---|---|---|---|---|---|---|---|---|---|---|
| 2011 [1] | 37,288,056 | 30,407,258 | 6,880,798 | (2,341,797) | 4,539,001 | 4,084,029 | 1,750,605 | 10,373,635 | 5,409,793 | 1.92 |
| 2012 [1] | 38,427,954 | 30,968,036 | 7,459,918 | (1,860,142) | 5,599,776 | 4,203,371 | 1,988,269 | 11,791,416 | 5,987,721 | 1.97 |
| 2013 [1] | 40,839,611 | 31,801,760 | 9,037,851 | (2,006,424) | 7,031,427 | 4,040,451 | 2,608,336 | 13,680,214 | 6,532,311 | 2.09 |
| 2014 [1] | 38,541,038 | 32,605,213 | 5,935,825 | (2,279,698) | 3,656,127 | 4,483,579 | 2,569,620 | 10,709,326 | 6,118,218 | 1.75 |
| 2015 [2] | 55,669,322 | 54,025,993 | 1,643,329 | (4,109,806) | (2,466,477) | 7,315,097 | 4,263,745 | 9,112,365 | 10,586,315 | 0.86 |
| 2016 | 40,682,519 | 37,919,222 | 2,763,297 | (2,751,336) | 11,961 | 5,291,192 | 2,667,217 | 7,970,370 | 6,725,038 | 1.19 |
| 2017 | 44,240,520 | 36,732,696 | 7,507,824 | (2,763,886) | 4,743,938 | 5,501,576 | 2,608,336 | 12,853,850 | 6,729,457 | 1.91 |
| 2018 | 47,670,569 | 28,309,003 [6] | 19,361,566 | (2,725,755) | 16,635,811 | 5,506,203 | 3,725,067 | 25,867,081 | 10,178,416 | 2.54 |
| 2019 | 49,598,358 | 48,360,980 [6] | 1,237,378 | (1,569,924) | (332,546) | 5,557,339 | 3,824,616 | 9,049,409 | 10,846,807 | 0.83 |
| 2020 [3] | 50,139,140 | 47,209,726 | 2,929,414 | Not Available | Not Available | 5,660,229 | Not Available | Not Available | 11,136,755 | - |

[1] Fiscal year ended December 31 of the previous year

[2] Fiscal year ended June 30, 2015 plus January 1, 2014 - June 30, 2014

[3] Estimates, Results not yet final

[4] All outstanding Revenue Bonds issued under Act 94 were called on 11/01/2012

[5] Includes interest expense and amortization of bond premium.

[6] Difference in Operating Expenses due to accounting recognition of VEBA and Pension expense credits.

*Source: City of Warren*

## PROJECTED WATER AND SEWER FUND REVENUES, EXPENSES, AND COVERAGE

**Act 94 Revenue Bonds Only**

| Fiscal year ended June 30, | Operating Revenues[3] | Cash Operating Expenses[1,3] | Net Operating Income (loss) | Capital Improvements from Cash Flow | Annual Income Available for Debt Service | Act 94 Revenue Bonds Debt Service Requirements | Annual Coverage |
|---|---|---|---|---|---|---|---|
| 2021 [2] | 56,957,576 | 38,383,028 | 18,574,548 | 4,373,193 | 14,201,355 | - | - |
| 2022 | 58,096,728 | 39,150,689 | 18,946,039 | 3,000,000 | 15,946,039 | 478,814 | 39.57 |
| 2023 | 59,258,662 | 39,933,702 | 19,324,960 | 3,000,000 | 16,324,960 | 481,688 | 40.12 |
| 2024 | 60,443,835 | 40,732,376 | 19,711,459 | 3,000,000 | 16,711,459 | 480,188 | 41.05 |
| 2025 | 61,652,712 | 41,547,024 | 20,105,688 | 3,000,000 | 17,105,688 | 483,063 | 41.62 |
| 2026 | 62,885,766 | 42,377,964 | 20,507,802 | 3,000,000 | 17,507,802 | 480,313 | 42.70 |

[1] Net of budgeted debt service payments. Does not include depreciation.

[2] FY2021 Budget

[3] Estimated Revenue and Expense Growth of 2% per year.

**All Water and Sewer Bonds (Act 94 and Capital Improvement)**

| Fiscal year ended June 30, | Operating Revenues | Cash Operating Expenses[1,3] | Net Operating Income (loss) | Capital Improvements from Cash Flow | Annual Income Available for Debt Service | All Water and Sewer Bonds Debt Service Requirements | Annual Coverage |
|---|---|---|---|---|---|---|---|
| 2021 [2] | 56,957,576 | 38,383,028 | 18,574,548 | 4,373,193 | 14,201,355 | 12,487,797 | 1.14 |
| 2022 | 58,096,728 | 39,150,689 | 18,946,039 | 3,000,000 | 15,946,039 | 13,030,201 | 1.22 |
| 2023 | 59,258,662 | 39,933,702 | 19,324,960 | 3,000,000 | 16,324,960 | 11,824,228 | 1.38 |
| 2024 | 60,443,835 | 40,732,376 | 19,711,459 | 3,000,000 | 16,711,459 | 11,723,611 | 1.43 |
| 2025 | 61,652,712 | 41,547,024 | 20,105,688 | 3,000,000 | 17,105,688 | 11,746,268 | 1.46 |
| 2026 | 62,885,766 | 42,377,964 | 20,507,802 | 3,000,000 | 17,507,802 | 11,358,924 | 1.54 |

[1] Net of budgeted debt service payments. Does not include depreciation.

[2] FY2021 Budget

[3] Estimated Revenue and Expense Growth of 2% per year.

## WATER AND SEWER FUND – TOTAL DEBT SERVICE SCHEDULE

The City has issued numerous Limited Tax, General Obligation Capital Improvement Bonds for water and sewer projects. These Bonds are expected to be paid from the Water and Sewer Fund, but no lien against the revenues exists. The Public Utility System Revenue Bonds, Series 2020, create a statutory first lien upon the whole of the Net Revenues. The Public Utility System Revenue Bonds, Series 2020, will be the only bonds currently outstanding with a first lien against Net Revenues. Future Revenue Bonds, if any, will have equal standing and priority of lien with the Public Utility System Revenue Bonds, Series 2020.

| FY End June 30, | Public Utility System Revenue Bonds, Series 2020 | | | Capital Improvement Water & Sewer Bonds (LTGO Pledge of City[1,2]) | | | Total - All Debt Service |
|---|---|---|---|---|---|---|---|
| | Principal | Interest | Total | Principal | Interest | Total | |
| 2021 | $ - | $ - | $ - | $ 8,997,905 | $ 3,489,892 | $ 12,487,797 | $ 12,487,797 |
| 2022 | 195,000 | 283,814 | 478,814 | 9,286,367 | 3,265,021 | 12,551,388 | 13,030,201 |
| 2023 | 225,000 | 256,688 | 481,688 | 8,307,998 | 3,034,543 | 11,342,541 | 11,824,228 |
| 2024 | 235,000 | 245,188 | 480,188 | 8,421,894 | 2,821,530 | 11,243,424 | 11,723,611 |
| 2025 | 250,000 | 233,063 | 483,063 | 8,656,544 | 2,606,662 | 11,263,206 | 11,746,268 |
| 2026 | 260,000 | 220,313 | 480,313 | 8,492,960 | 2,385,651 | 10,878,611 | 11,358,924 |
| 2027 | 275,000 | 206,938 | 481,938 | 7,365,618 | 2,165,495 | 9,531,114 | 10,013,051 |
| 2028 | 285,000 | 194,363 | 479,363 | 6,330,000 | 1,962,736 | 8,292,736 | 8,772,099 |
| 2029 | 300,000 | 182,663 | 482,663 | 6,550,000 | 1,784,786 | 8,334,786 | 8,817,449 |
| 2030 | 310,000 | 170,463 | 480,463 | 6,760,000 | 1,599,255 | 8,359,255 | 8,839,718 |
| 2031 | 325,000 | 156,138 | 481,138 | 6,973,918 | 1,408,105 | 8,382,023 | 8,863,161 |
| 2032 | 340,000 | 142,913 | 482,913 | 6,295,000 | 1,220,181 | 7,515,181 | 7,998,094 |
| 2033 | 350,000 | 132,563 | 482,563 | 6,500,000 | 1,039,431 | 7,539,431 | 8,021,994 |
| 2034 | 360,000 | 121,913 | 481,913 | 6,750,000 | 852,681 | 7,602,681 | 8,084,594 |
| 2035 | 370,000 | 112,813 | 482,813 | 5,605,000 | 658,463 | 6,263,463 | 6,746,275 |
| 2036 | 375,000 | 105,363 | 480,363 | 5,785,000 | 484,031 | 6,269,031 | 6,749,394 |
| 2037 | 385,000 | 97,281 | 482,281 | 5,980,000 | 303,306 | 6,283,306 | 6,765,588 |
| 2038 | 395,000 | 88,506 | 483,506 | 1,635,000 | 127,125 | 1,762,125 | 2,245,631 |
| 2039 | 400,000 | 79,063 | 479,063 | 1,685,000 | 77,325 | 1,762,325 | 2,241,388 |
| 2040 | 410,000 | 68,938 | 478,938 | 1,735,000 | 26,025 | 1,761,025 | 2,239,963 |
| 2041 | 420,000 | 59,350 | 479,350 | - | - | - | 479,350 |
| 2042 | 430,000 | 50,319 | 480,319 | - | - | - | 480,319 |
| 2043 | 440,000 | 40,250 | 480,250 | - | - | - | 480,250 |
| 2044 | 450,000 | 29,125 | 479,125 | - | - | - | 479,125 |
| 2045 | 465,000 | 17,688 | 482,688 | - | - | - | 482,688 |
| 2046 | 475,000 | 5,938 | 480,938 | | | - | 480,938 |
| | $ 8,725,000 | $ 3,301,645 | $ 12,026,645 | $ 128,113,204 | $ 31,312,246 | $ 159,425,449 | $ 171,452,094 |

[1] Bonds carry the Limited Tax, General Obligation credit pledge of the City of Warren. The debt service is expected to be paid from Water and Sewer Fund revenues but no lien against the revenues exists.

[2] Includes installment purchase contract for Energy Performance Improvements

**APPENDIX B**

**CITY OF WARREN**
**WATER AND SEWER SYSTEM BUDGET**
**Fiscal Year Ending June 30, 2021**

# WATER & SEWER SYSTEM

The Water & Sewer System's functions include the financing, acquisition, operation and maintenance of an adequate water supply and a waste water treatment facility for the benefit of the citizens and business community in the City of Warren.

Water Maintenance services include the maintenance and repair of the water mains throughout the City, water service installation, service repairs, responses to requests from the Miss Dig system, gate valve maintenance, hydrant repair and maintenance. Sewer Maintenance services include televising, cleaning, jetting and vactoring of the main sewers.

Shared Services consists of accounting, engineering and customer service personnel which provides support to the Water & Sewer Maintenance and Waste Water Treatment Plant. The accounting function is responsible for verifying that all financial activities for the Water & Sewer System are accurately entered in the System's financial records. Engineering personnel draft, inspect and implement infrastructure projects throughout the City that are related to the Water & Sewer System. Customer Service handles all questions regarding water bills, landlord and tenant arrangements, and bankruptcies as it relates to customer accounts, water taps, meter installations, repairing or replacing stop boxes, plugged main sewers and the availability of water and sewer service.

The Waste Water Treatment Plant staff's responsibilities include plant operations, plant maintenance, laboratory operations, the Industrial Pretreatment Monitoring and Enforcement, employee safety, grounds maintenance and administrative support.

The 2021 Water & Sewer System Budget is presented with an increase in the consumption-based water rate for City of Warren Water Utility customers from $4.021 per 100 cubic feet {approximately 750 gallons} to $4.106 per 100 cubic feet. The consumption-based waste water treatment rate for the City of Warren Water Utility customers will change from $3.108 per 100 cubic feet {approximately 750 gallons} to $3.431. The consumption-based rate for sanitary sewer improvements will change from $0.674 per 100 cubic feet {approximately 750 gallons} to $0.974.

The fixed rate meter service charge will remain the same at $0.84 per month for accounts with a 5/8" service meter. The fixed rate sewer service charge will remain the same at $2.03 per month for accounts with a 5/8" service meter.

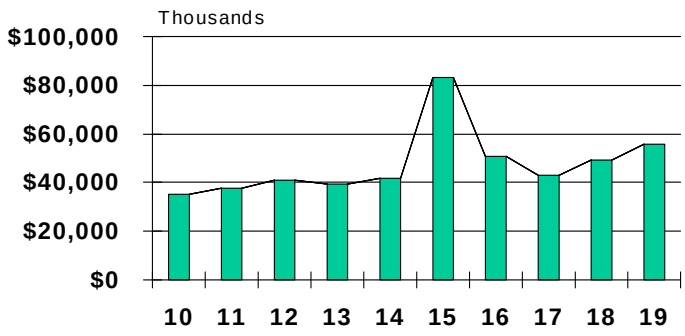
# WATER AND SEWER SYSTEM

## Fiscal 2021 Performance Objectives

1. To continue to maintain and replace water and sewer line.
2. To continue to meet the stringent discharge limitations at the treatment plant imposed by the State and Federal authorities.
3. To establish storm water management plan meeting government standards.
4. To minimize power usage while maximizing treatment efficiency.
5. To implement a recently mandated asset management program (CMMS) and purchase ESRI GIS Software.
6. To maintain delinquent receivables at three million dollars or less.
7. To automate the Work Order process, implement Paperless billing, Bill Presentment and Customer Meter-Read access.
8. To maintain water loss at 10% or less.

| Performance Indicators | Fiscal 2019 Actual | Fiscal 2020 Budget | Fiscal 2020 Estimated | Fiscal 2021 Budget |
|---|---|---|---|---|
| Water utility accounts | 49,656 | 49,656 | 49,675 | 49,675 |
| Sewer utility accounts | 48,820 | 48,820 | 48,854 | 48,854 |
| Second meter accounts | 765 | 775 | 722 | 722 |
| Water sold (thousand cu. ft.) | 590,888 | 645,348 | 571,192 | 619,163 |
| Water purchased | 634,010 | 713,248 | 611,175 | 666,731 |
| Broken water main repairs | 170 | 200 | 170 | 180 |
| Customer Inquiries | 59,040 | 58,500 | 58,500 | 58,500 |
| Sewage treated | 8.0 | 8.1 | 8.4 | 8.4 |
| Sludge solids removed | 30 | 31 | 28 | 30 |
| Power consumption | 12 | 12 | 13 | 13 |
| Natural gas for incinerator | 77 | 77 | 68 | 70 |
| Laboratory samples taken | 8,000 | 7,950 | 7,908 | 7,950 |
| Analytical lab tests run | 34,500 | 34,750 | 39,184 | 39,000 |
| Dye tests performed | 11 | 11 | 7 | 9 |
| Storm water samples collected | 200 | 210 | 666 | 700 |
| Illicit discharges identified | 2 | 2 | 1 | 2 |
| Illicit discharges removed | 2 | 2 | 4 | 3 |

**Expenditure History**
**Water and Sewer System**



ENTERPRISE FUNDS

ACTUAL, ESTIMATED, REQUESTED AND APPROVED

| FY 2019 Actual Year | FY 2020 Actual to December 31 | FY 2020 Estimated To June 30 | FY 2020 Amended Budget December 31 | **WATER & SEWER SYSTEM** | FY 2021 Departmental Request | FY 2021 Recommended By Mayor | FY 2021 Adopted By Council |
|---|---|---|---|---|---|---|---|
| | | | | **REVENUES:** | | | |
| $ 46,691,957 | $ 25,207,611 | $ 46,322,891 | $ 51,808,600 | Water & Sewer Charges | $ 53,862,300 | $ 53,862,300 | |
| 29,015 | 15,980 | 25,000 | 25,000 | Water Sales-Unmetered | 32,205 | 32,205 | |
| 90,000 | 45,000 | 90,000 | 90,000 | Public Fire Protection | 90,000 | 90,000 | |
| 786,738 | 388,215 | 800,000 | 800,000 | Penalties | 800,000 | 800,000 | |
| 730,842 | 346,189 | 755,000 | 755,000 | Other Income | 790,000 | 790,000 | |
| 64,594 | 32,802 | 65,604 | 65,604 | Building Rental | 65,604 | 65,604 | |
| 74,044 | 27,276 | 55,000 | 55,000 | Meter Sales/Repairs | 55,000 | 55,000 | |
| 1,131,168 | 637,808 | 1,156,126 | 1,262,467 | Pre-Treatment/Cross Connection Charges | 1,262,467 | 1,262,467 | |
| (79,651) | - | 15,000 | 15,000 | Gain (Loss) On Asset Conversion | 15,000 | 15,000 | |
| 1,752,204 | 567,495 | 770,180 | 660,180 | Interest On Investments | 955,180 | 955,180 | |
| 582,139 | 75,905 | 84,339 | - | SAW Grant Revenue | 700,000 | 700,000 | |
| - | 27,616,744 | 27,616,744 | - | Financing Proceeds | 8,288,000 | 8,288,000 | |
| - | 4,172,887 | 36,154,853 | 35,924,482 | Fund Balance Appropriated | 27,845,203 | 27,845,203 | |
| $ 51,853,050 | $ 59,133,912 | $ 113,910,737 | $ 91,461,333 | **Total Revenues** | $ 94,760,959 | $ 94,760,959 | |
| | | | | **EXPENDITURES:** | | | |
| 6,757,970 | 3,229,670 | 7,646,415 | 7,646,415 | Personnel Services | 7,899,997 | $ 7,899,997 | |
| 7,733,140 | 3,799,802 | 8,108,848 | 8,108,848 | Employee Benefits | 8,590,265 | 8,590,265 | |
| 31,441,266 | 14,963,465 | 31,454,463 | 32,116,918 | Other Services and Charges | 35,406,785 | 35,406,785 | |
| 9,922,845 | 7,728,983 | 43,584,152 | 43,589,152 | Capital Outlay | 42,161,576 | 42,161,576 | |
| $ 55,855,221 | $ 29,721,920 | $ 90,793,878 | $ 91,461,333 | **Total Expenditures** | $ 94,058,623 | $ 94,058,623 | |
| $ (4,002,171) | $ 29,411,992 | $ 23,116,859 | $ - | **NET INCREASE (DECREASE) IN FUND BALANCE DURING THE PERIOD** | $ 702,336 | $ 702,336 | |
| 86,648,303 | 82,646,132 | 82,646,132 | 82,646,132 | **ESTIMATED FUND BALANCE BEGINNING OF PERIOD** | 69,608,138 | 69,608,138 | |
| | | | | **RESERVE FOR:** | | | |
| (409,798) | (409,798) | (409,798) | (409,798) | **COMPENSATED ABSENCES** | (409,798) | (409,798) | |
| (66,688,965) | (90,132,822) | (61,598,096) | (34,211,723) | **CAPITAL OUTLAY** | (33,752,893) | (33,752,893) | |
| - | (4,172,887) | (36,154,853) | (35,924,482) | **LESS: FUND BALANCE APPROPRIATED** | (27,845,203) | (27,845,203) | |
| $ 15,547,369 | $ 17,342,617 | $ 7,600,244 | $ 12,100,129 | **EST. UNRESTRICTED FUND BALANCE (DEFICIT) END OF PERIOD** | $ 8,302,580 | $ 8,302,580 | |

ENTERPRISE FUND PERSONNEL

| WATER & SEWER SYSTEM | Present No. | Present Rate | Requested(a) No. | Requested(a) Rate | Recommended By Mayor(a) No. | Recommended By Mayor(a) Rate | Adopted By Council(a) No. | Adopted By Council(a) Rate |
|---|---|---|---|---|---|---|---|---|
| Water & Sewer Maintenance | | | | | | | | |
| Deputy Superintendent | 1 | $ 100,073 | 1 | $ 100,073 | 1 | $ 100,073 | | |
| Water Operations Manager | 1 | 95,086 | 1 | 95,086 | 1 | 95,086 | | |
| Water Division Supervisor | 3 | 79,290 | 3 | 79,290 | 3 | 79,290 | | |
| Water Utilities Operator | 27 | 63,710 | 27 | 63,710 | 27 | 63,710 | | |
| Senior Water Systems Monitor | 1 | 82,479 | 1 | 82,479 | 1 | 82,479 | | |
| Water Systems Monitor | 1 | 71,265 | 1 | 71,265 | 1 | 71,265 | | |
| Stock Clerk | 1 | 59,488 | 1 | 59,488 | 1 | 59,488 | | |
| Shared Services | | | | | | | | |
| Superintendent | 1 | 105,631 | 1 | 105,631 | 1 | 105,631 | | |
| Office Coordinator | - | | 1 (c) | 78,495 | 1 (c) | 78,495 | | |
| Senior Account Tech/Water Acctg | 1 | 65,004 | 1 (c) | 65,004 | 1 (c) | 65,004 | | |
| Account Technician | 8 | 60,472 | 7 (c) | 60,472 | 7 (c) | 60,472 | | |
| Office Assistant | 1 | 38,802 | 1 | 38,802 | 1 | 38,802 | | |
| Office Coordinator-Engineering | 1 | 78,495 | 1 | 78,495 | 1 | 78,495 | | |
| GIS Coordinator | 1 | 83,379 | 1 | 83,379 | 1 | 83,379 | | |
| City Engineer | 1 | 126,781 | 1 | 126,781 | 1 | 126,781 | | |
| Civil Engineer II | 1 | 93,045 | 1 | 93,045 | 1 | 93,045 | | |
| Civil Engineer | 2 | 88,775 | 2 | 88,775 | 2 | 88,775 | | |
| Drafting Specialist | 1 | 65,502 | 1 | 65,502 | 1 | 65,502 | | |
| Construction Specialist | 3 | 70,012 | 3 | 70,012 | 3 | 70,012 | | |
| Waste Water Treatment Plant | | | | | | | | |
| Sanitary Engineer | 1 | 114,801 | 1 | 114,801 | 1 | 114,801 | | |
| Wastewater Specialist | 1 | 94,840 | 1 | 94,840 | 1 | 94,840 | | |
| Facility Engineer | 2 | 97,102 | 2 | 97,102 | 2 | 97,102 | | |
| Environmental Compliance Engineer | 2 | 96,934 | 2 | 96,934 | 2 | 96,934 | | |
| Laboratory Director | 1 | 90,686 | 1 | 90,686 | 1 | 90,686 | | |
| Junior Chemist | 2 | 71,079 | 2 | 71,079 | 2 | 71,079 | | |

(a) Wage rates are based on Local 227, Local 412 Unit 35 and Local 1917 contracts that expire 6/30/20.
(c) Reclassification of Senior Account Tech to Office Coordinator
(c) Reclassification of Account Technician to Senior Account Tech

(Continued)

ENTERPRISE FUND PERSONNEL

| WATER & SEWER SYSTEM | Present No. | Present Rate | Requested(a) No. | Requested(a) Rate | Recommended By Mayor(a) No. | Recommended By Mayor(a) Rate | Adopted By Council(a) No. | Adopted By Council(a) Rate |
|---|---|---|---|---|---|---|---|---|
| Waste Water Treatment Plant | | | | | | | | |
| Laboratory Technician | 1 | $ 63,269 | 1 | $ 63,269 | 1 | $ 63,269 | | |
| Maintenance M&P Manager | 1 | 82,910 | 1 | 82,910 | 1 | 82,910 | | |
| Mechanic Technician | 3 | 70,068 | 3 | 70,068 | 3 | 70,068 | | |
| Mechanic Specialist | 1 | 64,203 | 1 | 64,023 | 1 | 64,023 | | |
| Master Electrician | 1 | 77,679 | 1 | 77,679 | 1 | 77,679 | | |
| WWTP Electrician | 1 | 74,795 | 1 | 74,795 | 1 | 74,795 | | |
| Electrician/Instrumentation Technical Spec. | 1 | 85,619 | 1 | 85,619 | 1 | 85,619 | | |
| Industrial Services Manager | 1 | 85,619 | 1 | 85,619 | 1 | 85,619 | | |
| Industrial Waste Specialist | 2 | 67,742 | 2 | 67,742 | 2 | 67,742 | | |
| Industrial Waste Technician | 1 | 60,056 | 1 | 60,056 | 1 | 60,056 | | |
| I & C System Manager | 1 | 90,800 | 1 | 90,800 | 1 | 90,800 | | |
| I & C System Technician | 1 | 76,452 | 1 | 76,452 | 1 | 76,452 | | |
| Chief Operator | 1 | 96,934 | 1 | 96,934 | 1 | 96,934 | | |
| Operations Supervisor | 2 | 86,128 | 2 | 86,128 | 2 | 86,128 | | |
| Treatment Specialist | 10 | 68,034 | 10 | 68,034 | 10 | 68,034 | | |
| Calibration Specialist | 1 | 66,579 | 1 | 66,579 | 1 | 66,579 | | |
| WWTP Trainee | - | - | 1 (b) | 49,858 | 1 (b) | 49,858 | | |
| Office Coordinator - WWTP | 1 | 78,496 | 1 | 78,496 | 1 | 78,496 | | |
| Administrative Clerk - WWTP | 1 | 53,894 | 1 | 53,894 | 1 | 53,894 | | |
| Temporary Employees | | | | | | | | |
| Water & Sewer Maintenance | | 166,250 | | 238,608 | | 238,608 | | |
| Shared Services | | 25,000 | | - | | - | | |
| Waste Water Treatment Plant | | 30,000 | | 63,000 | | 63,000 | | |
| Overtime | | | | | | | | |
| Water & Sewer Maintenance | | 125,000 | | 125,000 | | 125,000 | | |
| Shared Services | | 130,000 | | 130,000 | | 130,000 | | |
| Waste Water Treatment Plant | | 250,000 | | 250,000 | | 250,000 | | |
| Total Personnel | 96 | | 97 | | 97 | | | |

(a) Wage rates are based on Local 227, Local 412 Unit 35 and Local 1917 contracts that expire 6/30/20.
(b) New position.

ENTERPRISE FUNDS
ACTUAL, ESTIMATED, REQUESTED AND APPROVED

| FY 2019 Actual Year | FY 2020 Actual to December 31 | FY 2020 Estimated To June 30 | FY 2020 Amended Budget December 31 | **WATER & SEWER SYSTEM EXPENDITURES:** | FY 2021 Departmental Request | FY 2021 Recommended By Mayor | FY 2021 Adopted By Council |
|---|---|---|---|---|---|---|---|
| | | | | **Personnel Services:** | | | |
| $ 6,194,661 | $ 2,951,361 | $ 6,920,165 | $ 6,920,165 | Permanent | $ 7,093,389 | $ 7,093,389 | |
| 135,320 | 70,523 | 221,250 | 221,250 | Temporary Labor | 301,608 | 301,608 | |
| 427,989 | 207,786 | 505,000 | 505,000 | Overtime | 505,000 | 505,000 | |
| | | | | **Employee Benefits:** | | | |
| 43,411 | 30,811 | 88,200 | 88,200 | Education Allowance | 85,150 | 85,150 | |
| 539,202 | 256,131 | 611,406 | 611,406 | Social Security | 629,759 | 629,759 | |
| 1,530,272 | 876,932 | 2,015,791 | 2,015,791 | Employee Insurance | 1,871,352 | 1,871,352 | |
| 1,854,400 | 829,514 | 1,678,561 | 1,678,561 | Retiree Health Insurance | 2,040,340 | 2,040,340 | |
| 269,670 | 81,727 | 202,039 | 202,039 | Longevity | 189,634 | 189,634 | |
| 3,362,632 | 1,638,701 | 3,368,219 | 3,368,219 | Retirement Fund | 3,632,628 | 3,632,628 | |
| 55,000 | 50,360 | 61,500 | 61,500 | Certification Bonuses | 61,500 | 61,500 | |
| 61,845 | 22,316 | 63,932 | 63,932 | Holiday Pay | 60,402 | 60,402 | |
| 16,708 | 13,310 | 19,200 | 19,200 | Uniforms | 19,500 | 19,500 | |
| | | | | **Supplies and Other Charges:** | | | |
| 609,881 | 251,676 | 577,000 | 577,000 | Operating Supplies | 495,000 | 495,000 | |
| 1,536,335 | 346,054 | 877,150 | 877,150 | Professional Services | 934,300 | 934,300 | |
| 57,959 | 56,369 | 50,000 | 50,000 | Materials | 50,000 | 50,000 | |
| 237,617 | 56,477 | 125,000 | 125,000 | Meter Replacement | 125,000 | 125,000 | |
| 94,136 | 56,187 | 125,000 | 125,000 | Dirt Removal | 300,000 | 300,000 | |
| 940,443 | 31,444 | 750,000 | 750,000 | Concrete, Lawn & Manhole Repairs | 750,000 | 750,000 | |
| - | 23,795 | 256,663 | 256,663 | Lead and Copper Rule Replacements | 250,000 | 250,000 | |
| 93,412 | 56,312 | 85,000 | 85,000 | Chemicals | 175,000 | 175,000 | |
| 8,769 | 7,014 | 25,000 | 25,000 | Odor Control | 25,000 | 25,000 | |
| 109,308 | 32,358 | 100,000 | 100,000 | Ash Removal Contract | 200,000 | 200,000 | |
| 57,643 | 33,092 | 75,200 | 75,200 | Telephone | 78,000 | 78,000 | |
| 512,435 | 217,374 | 511,715 | 511,696 | Auto Expense | 513,165 | 513,165 | |
| 796,243 | 214,672 | 810,750 | 810,750 | Utilities | 710,800 | 710,800 | |
| 1,036,381 | 396,148 | 935,000 | 935,000 | Electric Power | 935,000 | 935,000 | |
| 813,727 | 377,295 | 850,000 | 850,000 | Repairs & Maintenance | 600,000 | 600,000 | |
| - | - | - | - | Health & Safety | 310,000 | 310,000 | |
| 22,284 | 17,941 | 25,000 | 25,000 | Management Agency Fee | 25,000 | 25,000 | |
| 29,102 | 29,131 | 29,500 | 29,500 | M.S.D.W.A. Annual Fee | 29,500 | 29,500 | |
| 13,650 | 16,800 | 16,800 | 16,800 | Auditing | 17,100 | 17,100 | |
| 379,256 | 84,339 | 84,339 | - | SAW Grant Expenses | 700,000 | 700,000 | |

(Continued)

ENTERPRISE FUNDS

ACTUAL, ESTIMATED, REQUESTED AND APPROVED

| FY 2019 Actual Year | FY 2020 Actual to December 31 | FY 2020 Estimated To June 30 | FY 2020 Amended Budget December 31 | **WATER & SEWER SYSTEM EXPENDITURES (Continued):** | FY 2021 Departmental Request | FY 2021 Recommended By Mayor | FY 2021 Adopted By Council |
|---|---|---|---|---|---|---|---|
| | | | | **Other Services and Charges:** | | | |
| $ 34,035 | $ 4,439 | $ 100,000 | $ 100,000 | Facility Maintenance | $ 50,000 | $ 50,000 | |
| 238,628 | 137,919 | 250,000 | 250,000 | Postage | 256,000 | 256,000 | |
| 9,680,882 | 5,255,535 | 10,264,187 | 11,011,000 | Water Purchases | 10,947,000 | 10,947,000 | |
| - | - | 5,000 | 5,000 | Unemployment Benefits | 5,000 | 5,000 | |
| 600,000 | 300,000 | 600,000 | 600,000 | General Insurance | 600,000 | 600,000 | |
| 3,552 | - | 100,000 | 100,000 | Uncollectible Debt | 100,000 | 100,000 | |
| 2,315,900 | 1,255,500 | 2,511,000 | 2,511,000 | Administrative Expense | 2,711,901 | 2,711,901 | |
| 11,219,688 | 5,705,594 | 11,315,159 | 11,315,159 | Debt Payments | 13,514,019 | 13,514,019 | |
| | | | | **Capital Outlay:** | | | |
| 4,501,614 | 2,216,102 | 6,926,985 | 6,926,985 | Capital Improvements-Equipment | 3,058,576 | 3,058,576 | |
| 5,421,231 | 5,512,881 | 36,657,167 | 36,662,167 | Capital Improvements-Infrastructure | 39,103,000 | 39,103,000 | |
| $ 55,855,221 | $ 29,721,920 | $ 90,793,878 | $ 91,461,333 | **Total Expenditures** | $ 94,058,623 | $ 94,058,623 | |

# Appendix C[1]
# CITY OF WARREN
# GENERAL AND ECONOMIC INFORMATION

## LOCATION AND DESCRIPTION

The City of Warren (the "City") was incorporated in 1957 and is the third-largest city in the State of Michigan, according to the 2010 U.S. Census. The City is located in Macomb County, about 18 miles from the City of Detroit and 34 miles from Detroit Metro Airport. The City has a total area of about 34.46 square miles.

## POPULATION

The U.S. Census reported estimated populations for the City are as follows:

| | |
|---|---|
| 2018 American Community Survey | 135,192 |
| 2010 U.S. Census | 134,056 |
| 2000 U.S. Census | 138,247 |
| 1990 U.S. Census | 144,864 |
| 1980 U.S. Census | 161,134 |

*Source: U.S. Census Bureau*

## FORM OF GOVERNMENT

The City operates under a mayor/ council form of government. The Mayor is elected at-large to serve a four-year term of office. The City Council is elected for a four-year term with five council members elected for each of the five districts, and two at large. The Council as a legislative body determines the overall policy to be followed by the administration and is charged with enacting such legislation as would serve the best interests of the City.

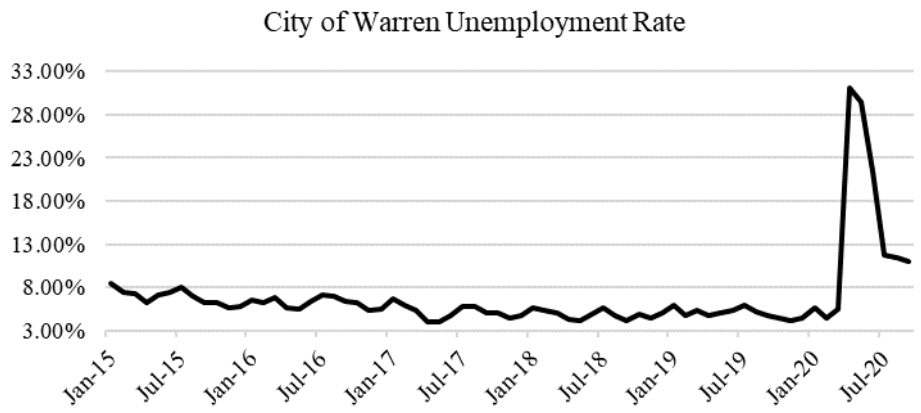
## EMPLOYMENT STATISTICS

The Unemployment Rate for the City of Warren as reported by MILMI.org was as follows:

| | 2020 | 2019 | 2018 | 2017 | 2016 | 2015 |
|---|---|---|---|---|---|---|
| January | 5.60% | 6.70% | 5.60% | 6.70% | 6.60% | 8.50% |
| February | 4.40% | 5.30% | 5.30% | 6.00% | 6.30% | 7.50% |
| March | 5.50% | 5.60% | 5.00% | 5.40% | 6.80% | 7.30% |
| April | 31.10% | 4.40% | 4.30% | 4.00% | 5.70% | 6.30% |
| May | 29.40% | 4.50% | 4.20% | 4.00% | 5.50% | 7.20% |
| June | 21.40% | 5.20% | 4.90% | 4.70% | 6.40% | 7.40% |
| July | 11.70% | 6.10% | 5.60% | 5.80% | 7.20% | 8.00% |
| August | 11.50% | 5.50% | 4.70% | 5.80% | 7.00% | 7.00% |
| September | 11.00% | 4.60% | 4.20% | 5.10% | 6.40% | 6.20% |
| October | | 4.70% | 4.90% | 5.10% | 6.30% | 6.30% |
| November | | 4.20% | 4.50% | 4.50% | 5.40% | 5.70% |
| December | | 4.40% | 5.00% | 4.80% | 5.50% | 5.80% |
| Annual | | 5.10% | 4.90% | 5.20% | 6.30% | 6.90% |

*Source: milmi.org*

[1] *All information in this document was sourced from the City unless otherwise noted.*




*Source: milmi.org*

## EMPLOYMENT CHARACTERISTICS*

The five largest employers and their estimated number of employees in the City are as follows:

| Largest Employers | Product/Service | Estimated Number Employed |
|---|---|---|
| General Motors Corporation | Automotive | 23,000 |
| U.S. Government (TACOM) | U.S. Government - Tank Manufacturing | 8,600 |
| FIAT/Chrysler Corporation | Automotive | 4,800 |
| Ascension Health | Health Care | 3,350 |
| Dana Corporation | Automotive | 880 |

* The approximate number of employees listed are as reported in the sources indicated below. Because of reporting time lags and other factors inherent in collecting and reporting such information, the numbers may not reflect recent changes in employment levels, if any.

*Source: City of Warren*

## LABOR AGREEMENTS

The City has eight (8) employee bargaining units which have negotiated comprehensive salary, wage, fringe benefits and working conditions with the City. The duration of these agreements are as follows:

| Labor Group | Number of Employees | Expiration of Contract |
|---|---|---|
| WPOA | 185 | 30-Jun-21 |
| WPOA Command Officers | 34 | 30-Jun-21 |
| Fire Fighters Local 1383 | 110 | 30-Jun-23 |
| GELC Supervisors | 43 | 30-Jun-21 |
| GELC Local 227 | 229 | 30-Jun-21 |
| UCOUR227 | 26 | 30-Jun-21 |
| UAW Local 412 Unit 35 | 5 | 30-Jun-20 |
| UAW Local 412 Unit 59 | 24 | 30-Jun-21 |
| Total Union Represented Employees | 656 | |

*Source: City of Warren*

## CITY TAX RATES & LEVIES

| Purpose | Authorized | 2020 Millage | Expiration Date of Levy |
|---|---|---|---|
| City Operating | 9.0000 | 8.5421 | n/a |
| EMS | 0.3000 | 0.2843 | n/a |
| Library (Charter) | 0.5000 | 0.4743 | n/a |
| Library (Voted) | 0.8500 | 0.6014 | 8/1/2030 |
| Rubbish | 3.0000 | 2.5550 | n/a |
| Act 345 | 4.9848 | 4.9848 | n/a |
| Police Operating | 0.9676 | 0.9531 | 8/1/2038 |
| Fire Operating | 0.9676 | 0.9531 | 8/1/2038 |
| Rec Operating | 1.0000 | 0.9488 | n/a |
| Police and Fire Operating | 4.9000 | 4.7953 | 8/1/2022 |
| Road Repair | 2.1000 | 2.0549 | 8/1/2021 |
| TOTAL | 28.5700 | 27.1471 | |

*Source: City of Warren*

The City's authorized operating tax levy, after the Headlee Rollback, is 8.5421 mills.

## CONSTITUTIONAL ROLLBACK AND ASSESSMENT CAPS

Article IX, Section 31 of the Michigan Constitution requires that if the total value of existing taxable property in a local taxing unit, exclusive of new construction and improvements, increases faster than the U.S. Consumer Price Index from one year to the next, the maximum authorized tax rate for that local taxing unit must be reduced through a Millage Reduction Fraction unless reversed by a vote of the electorate of the local taxing unit.

## TAX COLLECTION RECORD

The City taxes are due and payable and a lien created upon the assessed property on July 1 each year. Taxes remaining unpaid on the following March 1st are turned over to the County Treasurer for collection. The county pays the City 100% of the uncollected real property taxes by May 15th of each year. Uncollected personal property taxes are ineligible.

**Fiscal Year - July 1/June 30**
**March 1 Collected**

| Year | Tax Levy | Amount | % Collected to March 1 of the following year |
|---|---|---|---|
| 2019 | $97,670,120 | $93,542,404 | 95.77% |
| 2018 | 91,129,798 | 87,408,203 | 95.92 |
| 2017 | 90,105,364 | 86,150,493 | 95.61 |
| 2016 | 97,106,184 | 93,069,554 | 95.84 |
| 2015 | 94,956,495 | 90,597,439 | 95.41 |
| 2014 | 92,809,755 | 88,123,607 | 94.95 |
| 2013 | 95,336,444 | 89,717,290 | 94.11 |
| 2012 | 75,164,889 | 70,595,765 | 93.92 |
| 2011 | 74,503,574 | 69,893,977 | 93.81 |
| 2010 | 80,341,909 | 75,364,670 | 93.80 |

*Source: City of Warren*

## MAJOR TAXPAYERS

The ten largest private taxpayers in the City and their 2020 Taxable valuations are:

| 10 Largest Taxpayers | 2020 Taxable Valuation |
|---|---|
| General Motors Corporation | $ 259,799,896 |
| DTE Electric Co. | 54,785,643 |
| FIAT/Chrysler Corporation | 38,166,354 |
| Consumers Energy | 37,253,116 |
| Consumers Energy | 35,461,408 |
| LCN AVF Warren LLC (Art Van Furniture) | 18,514,260 |
| Noble 51 | 13,429,870 |
| Stag Industrial Holdings | 9,960,520 |
| Hoover Eleven Holding LLC | 8,746,440 |
| Lipari Deli Foods | 7,521,633 |
| **TOTAL** | $ 483,639,140 |
| Top Ten % of 2020 TV | 13.26% |

*Source: City of Warren*

## HISTORY OF VALUATIONS

A history of the property valuations in the City is shown below:

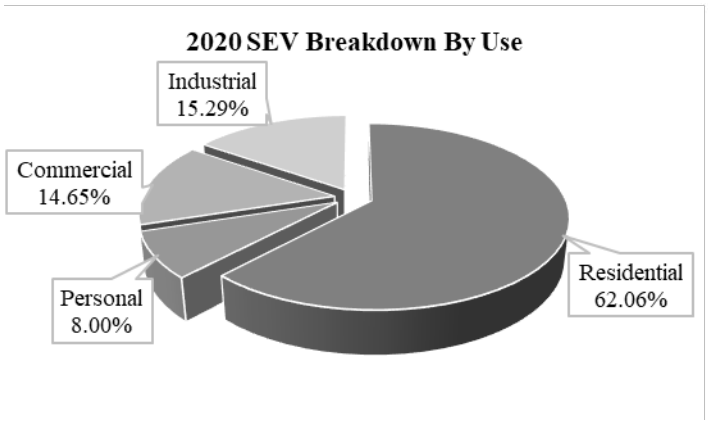
| | STATE EQUALIZED VALUATION ("SEV") (50% of True Value) | SEV % Change | TAXABLE VALUATION ("TV") | TV % Change |
|---|---|---|---|---|
| 2020 | $4,748,323,904 | 8.39% | $3,647,085,502 | 4.56% |
| 2019 | 4,380,814,674 | 6.97% | 3,487,911,527 | 4.51% |
| 2018 | 4,095,291,570 | 3.74% | 3,337,542,540 | 3.32% |
| 2017 | 3,947,829,179 | 4.42% | 3,230,375,517 | 1.23% |
| 2016 | 3,780,610,435 | -1.03% | 3,191,263,903 | -7.62% |
| 2015 | 3,820,139,931 | 12.04% | 3,454,346,848 | 5.70% |
| 2014 | 3,409,574,508 | 4.69% | 3,268,039,044 | 1.33% |
| 2013 | 3,256,946,387 | -3.10% | 3,225,024,283 | -2.91% |
| 2012 | 3,361,170,897 | -10.48% | 3,321,788,868 | -10.23% |
| 2011 | 3,754,661,103 | -10.21% | 3,700,391,823 | -9.11% |
| | Per Capita SEV (2020): | $35,134.51 | Per Capita TV (2020): | $26,986.06 |

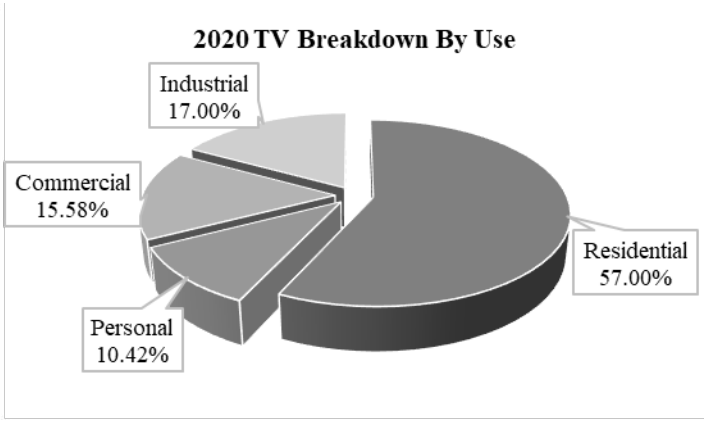
| 2020 SEV Breakdown by Use | | |
|---|---|---|
| Residential | $2,946,749,019 | 62.06% |
| Personal | 380,012,060 | 8.00% |
| Commercial | 695,570,595 | 14.65% |
| Industrial | 725,992,230 | 15.29% |
| Total | $4,748,323,904 | 100.00% |

| 2020 TV Breakdown by Use | | |
|---|---|---|
| Residential | $2,078,961,947 | 57.00% |
| Personal | 380,012,060 | 10.42% |
| Commercial | 568,136,475 | 15.58% |
| Industrial | 619,975,020 | 17.00% |
| Total | $3,647,085,502 | 100.00% |

| 2020 SEV Breakdown by Class | | |
|---|---|---|
| Real | $4,368,311,844 | 92.00% |
| Personal | 380,012,060 | 8.00% |
| Total | $4,748,323,904 | 100.00% |

| 2020 TV Breakdown by Class | | |
|---|---|---|
| Real | $3,267,073,442 | 89.58% |
| Personal | 380,012,060 | 10.42% |
| Total | $3,647,085,502 | 100.00% |




*Source: Michigan Department of Treasury and City of Warren*

## INDUSTRIAL FACILITIES TAX

The Michigan Plant Rehabilitation and Industrial Development District Act (Act 198, Public Acts of Michigan, 1974, as amended) ("Act 198"), provides significant tax incentives to industry to renovate and expand aging plants and to build new plants in Michigan. Under the provisions of Act 198, qualifying cities, villages, and townships may establish districts in which industrial firms are offered certain property tax incentives to encourage restoration or replacement of obsolete industrial facilities and to attract new plants to the area. The issuance of any exemption certificate must be approved by the State Treasurer. Firms situated in such districts pay an Industrial Facilities Tax in lieu of property taxes on plant and equipment for a period of up to 12 years. For rehabilitated plant and equipment, the assessed value is frozen at previous levels. New plant and equipment is taxed at one-half the current millage rate. It must be emphasized, however, that ad valorem property taxes on land and inventory are specifically excluded under Act 198. Abatements under Act 198 have been granted to properties in the City with a total 2020 Taxable value of $120,947,234 for real and personal property. New Facility Roll - $120,947,234.

## MICHIGAN PROPERTY TAX REFORM

State of Michigan voters approved the enactment of Michigan Public Acts 153 and 154 of 2013 and Acts 80 and 86 through 93 of 2014 by referendum on August 5, 2014 (collectively, the "PPT Reform Acts"), which significantly reformed Personal Property tax in Michigan.

Under the PPT Reform Acts, owners of industrial and commercial Personal Property with a total true cash value of $80,000 or less may file an affidavit claiming a Personal Property tax exemption. To be eligible for the exemption, all of the commercial or industrial Personal Property within a city or township that is owned by, leased to, or controlled by the claimant has to have an accumulated true cash value of $80,000 or less. Beginning in calendar year 2016, owners of certain manufacturing Personal Property that was either purchased after December 31, 2012, or that is at least ten years old may claim an exemption from Personal Property tax. By 2022, all eligible manufacturing Personal Property will be at least ten years old or purchased after December 31, 2012, so that it could be exempted from Personal Property tax.

To replace personal property tax revenues lost by local governments the PPT Reform Acts divided the existing state use tax into two components, a "state share tax" and a "local community stabilization share tax," and established the Local Community Stabilization Authority (the "LCSA") to administer distribution of the local community stabilization share. The Michigan Department of Treasury collects the local community stabilization share tax on behalf of the LCSA. The local community stabilization share tax revenues are not subject to the annual appropriations process and are provided to the LCSA for distribution pursuant to a statutory formula. The statutory

formula is anticipated to provide 100% reimbursement to local governments for losses due to the new personal property tax exemptions.

The ultimate nature, extent, and impact of other tax and revenue measures, which are from time to time considered, cannot currently be predicted. Purchasers of the Bonds should consult with their legal counsel and financial advisors as to the consequences of any such legislation on the market price or marketability of the Bonds, the security therefor and the operations of the City.

## GENERAL FUND REVENUES AND EXPENDITURES

| | 2019 | 2018 | 2017 |
|---|---|---|---|
| Revenues & Other Sources | $ 113,762,623 | $ 102,878,816 | $ 112,020,220 |
| Expenses & Other Uses | 103,866,212 | 124,952,306 | 104,309,564 |
| Revenues Over (Under) Expense | 9,896,411 | (22,073,490) | 7,710,656 |
| Transfers in | - | - | - |
| Transfers out | (183,927) | (123,820) | (115,340) |
| New Debt Issued | 429,889 | | |
| Total other financing (uses) sources | 245,962 | (123,820) | (115,340) |
| Beginning Balance | 49,216,414 | 71,413,724 | 63,818,408 |
| Ending Balance | $ 59,358,787 | $ 49,216,414 | $ 71,413,724 |

*Source: City of Warren CAFR & City of Warren Controller*

## REVENUES FROM THE STATE OF MICHIGAN

### Revenue Sharing

The City receives revenue sharing payments from the State under the State Constitution and the State Revenue Sharing Act of 1971, as amended. The State Legislature may change or eliminate statutory revenue sharing at any time. The table appearing below shows State revenue sharing distributions received by the City during the City's past five fiscal years.

| Fiscal Year Ended | Revenue Sharing Payments |
|---|---|
| June 30, 2020 | $ 20,779,069 |
| June 30, 2019 | 24,069,335 |
| June 30, 2018 | 18,394,692 |
| June 30, 2017 | 28,184,436 |
| June 30, 2016 | 12,830,042 |

## PENSION AND OTHER EMPLOYEE BENEFIT TRUST FUNDS

*Please see Notes 8 - 13 of the June 30, 2019, CAFR for additional information.*

The City of Warren sponsors two separate defined benefit single-employer pension plans; the first covering policemen and firemen under Act 345 of the State of Michigan, while the second system covers all other elected and general "full-time" employees. For the year ended December 31, 2018, the City contributed $10,917,187 to the Police and Fire Retirement System. The City's General Employees' Pension Plan is now closed, and the City contributed $8,888,571 in 20178. Please refer to the notes to the financial statements for a detailed discussion of the plans.

The latest collective bargaining agreement for employees who were members of the City Employees' Retirement System Defined Benefit Plan, included a provision for participation in a Defined Contribution Plan. Employees at the time of ratification were given the option of transferring to the Defined Contribution Plan or remain in the Defined Benefit Plan. For employees electing to transfer, the City will contribute fifteen percent (15%) of wages to the employees' account. The employee will be required to make a contribution of three percent (3%). Employees hired after the ratification date of their respective contract will automatically be enrolled in the Defined Contribution Plan. The City will contribute ten percent (10%) of wages on behalf of these employees, and the employee will be required to make a contribution of four percent (4%).

These collective bargaining agreements also address the issue of retiree health insurance. Prior to these agreements, the City generally paid 100 percent of the cost of retiree health insurance when an employee was eligible to receive regular service or deferred retirement benefits. Effective with these contracts, employees hired after ratification may be responsible for payment of a share of their retiree health insurance dependent upon meeting certain age and service time requirements.

In an effort to fund the accrued liability for post-employment healthcare benefits, the City established a Voluntary Employee Benefit Association (VEBA) Trusts. There is a trust for the City Employees' Retirement System and a separate trust for the Police and Fire Retirement System. Each trust is administered by the City Employees' Retirement System or by the Police and Fire Retirement System for the benefit of their members. The trusts are designed to accumulate sufficient assets to fund the payment of post-retirement health benefits as they become due. Contributions to the trusts are actuarially determined. For FY2019, contributions for the City Employees VEBA Trust were $9,000,000, and for the Police and Fire VEBA Trust were $10,000,000.

## FUTURE FINANCING

The City does anticipate the possible issuance of $20,000,000 or more of Downtown Development Authority (self-supporting) debt within the next six months. The timing and size of the possible future DDA issue are subject to change. The City may potentially issue other debt but has no additional debt plans at this time.

## DEBT HISTORY

The City has no history of defaults on its obligations.

*[Remainder of this page intentionally left blank.]*

## CITY OF WARREN

Debt Statement

*as of November 17, 2020*

*Including the Bonds described herein*

**DIRECT DEBT OF CITY:**

| | | | |
|---|---|---|---|
| DDA Bonds | | | $ 34,605,000 |
| Capital Improvement Bonds | | | 132,877,406 |
| Transportation Fund Bonds | | | 11,645,000 |
| Public Utility Revenue Bonds | | | 8,725,000 |
| **Total Direct Debt of City** | | | 187,852,406 |
| Less Self-supporting: | | | |
| | DDA Bonds | | 34,605,000 |
| | Transportation Fund Bonds | | 11,645,000 |
| | Public Utility Revenue Bonds | | 8,725,000 |
| Total Self Supporting | | | 54,975,000 |
| Net City Debt | | | $ 132,877,406 |
| Per Capita City Net Direct Debt | | | $ 991.21 |
| Percent City Net Direct Debt to 2020 TV | | | 3.64% |
| OVERLAPPING DEBT OF CITY: | | | |
| School District | | | |
| 66.92% | Center Line | $ 36,000,000 | $ 24,091,200 |
| 20.68% | East Detroit | 13,117,833 | 2,712,768 |
| 100.00% | Fitzgerald | 26,955,000 | 26,955,000 |
| 97.78% | Van Dyke | 48,685,705 | 47,604,882 |
| 47.46% | Warren | 202,870,000 | 96,282,102 |
| 100.00% | Warren Woods | 51,275,000 | 51,275,000 |
| County | | | |
| 12.22% | Macomb | 256,786,664 | 31,379,330 |
| Intermediate School District | | | |
| 11.95% | Macomb I/S/D | 1,705,000 | 203,748 |
| Community College | | | |
| 12.22% | Macomb Community College | - | - |
| Net Overlapping Debt | | | $ 280,504,030 |
| Net City and Overlapping Debt | | | $ 413,381,437 |
| Per Capita City Net Direct and Overlapping Debt | | | $ 3,083.65 |
| Percent Net Direct and Overlapping Debt to 2020 TV | | | 11.33% |

*Source: City of Warren and Municipal Advisory Council of Michigan*

Capital Lease: The City maintains a capital lease with Comerica Leasing Corporation for sanitation equipment. The lease requires a payment of $1,208,448.39 per year through 2025.

**CITY OF WARREN**
Bonds with City Credit Pledged
As of November 17, 2020

| Fiscal Year | DDA Bonds | Capital Improvement | MTF | Total |
|---|---|---|---|---|
| 2021 | $ 5,455,000 | $ 5,718,435 | $ 750,000 | $ 11,923,435 |
| 2022 | 5,360,000 | 11,109,224 | 770,000 | 17,239,224 |
| 2023 | 5,515,000 | 9,697,528 | 790,000 | 16,002,528 |
| 2024 | 5,425,000 | 9,657,832 | 810,000 | 15,892,832 |
| 2025 | 5,320,000 | 9,872,482 | 835,000 | 16,027,482 |
| 2026 | 3,930,000 | 9,725,306 | 860,000 | 14,515,306 |
| 2027 | 2,465,000 | 8,247,679 | 885,000 | 11,597,679 |
| 2028 | 1,135,000 | 6,465,000 | 915,000 | 8,515,000 |
| 2029 | - | 6,680,000 | 940,000 | 7,620,000 |
| 2030 | - | 6,760,000 | 970,000 | 7,730,000 |
| 2031 | - | 6,973,918 | 1,005,000 | 7,978,918 |
| 2032 | - | 6,295,000 | 1,040,000 | 7,335,000 |
| 2033 | - | 6,500,000 | 1,075,000 | 7,575,000 |
| 2034 | - | 6,750,000 | - | 6,750,000 |
| 2035 | - | 5,605,000 | - | 5,605,000 |
| 2036 | - | 5,785,000 | - | 5,785,000 |
| 2037 | - | 5,980,000 | - | 5,980,000 |
| 2038 | - | 1,635,000 | - | 1,635,000 |
| 2039 | - | 1,685,000 | - | 1,685,000 |
| 2040 | - | 1,735,000 | - | 1,735,000 |
| 2041 | - | - | - | - |
| 2042 | - | - | - | - |
| 2043 | - | - | - | - |
| 2044 | - | - | - | - |
| 2045 | - | - | - | - |
| Total | $34,605,000 | $132,877,406 | $11,645,000 | $179,127,406 |

*[Remainder of this page intentionally left blank.]*

## LEGAL DEBT MARGIN

The net indebtedness of the City shall not be in excess of 10% of the State Equalized Valuation of all real and personal property. Obligations which are not included in the computation of legal debt margin include:

1. Special Assessment Bonds;
2. Mortgage Bonds;
3. Michigan Transportation Bonds;
4. Revenue Bonds;
5. Bonds issued, or contracts or assessment obligations incurred, to comply with an order of the Water Resources Commission (now the Department of Environmental Quality) or a court of competent jurisdiction;
6. Other obligations incurred for water supply, sewage, drainage or refuse disposal projects necessary to protect the public health by abating pollution; and
7. Bonds issued or assessments or contract obligations incurred for the construction, improvement, or replacement of a combined sewer overflow abatement facility.

| **LEGAL DEBT MARGIN CALCULATION** | | |
|---|---|---|
| 2020 State Equalized Value (SEV) | | $4,748,323,904 |
| Equivalent IFT Valuation | | 130,366,429 |
| Equivalent Valuation for Debt Margin Purposes | | 4,878,690,333 |
| Legal Debt Limit - 10% of SEV | | 487,869,033 |
| | | |
| Total Bonded Debt Outstanding | 187,852,406 | |
| Less: Michigan Transportation Bonds | (11,645,000) | |
| Less: Public Utility Revenue Bonds | (8,725,000) | |
| Net Amount Subject to Legal Debt Limit | | 167,482,406 |
| | | |
| LEGAL DEBT MARGIN AVAILABLE | | $320,386,627 |

## OTHER DEBT RATIOS

| | | |
|---|---|---|
| Estimated City Population | | 135,147 |
| 2020 Taxable Value | $ | 3,647,085,502 |
| 2020 State Equalized Value (SEV) | $ | 4,748,323,904 |
| 2020 True Cash Value (TCV) | $ | 9,496,647,808 |
| | | |
| Per Capita 2020 Taxable Value | $ | 26,986 |
| Per Capita 2020 State Equalized Value | $ | 35,135 |
| Per Capita 2020 True Cash Value | $ | 70,269 |
| | | |
| Per Capita Net Direct Debt | $ | 991 |
| Per Capita Net Direct and Overlapping Debt | $ | 3,084 |
| | | |
| Percent of Net Direct Debt of 2020 Taxable Value | | 3.64% |
| Percent of Net Direct and Overlapping Debt of 2020 Taxable Value | | 11.33% |
| | | |
| Percent of Net Direct Debt of 2020 SEV | | 2.80% |
| Percent of Net Direct and Overlapping Debt of 2020 SEV | | 8.71% |
| | | |
| Percent of Net Direct Debt of 2020 TCV | | 1.40% |
| Percent of Net Direct and Overlapping Debt of 2020 TCV | | 4.35% |

## OTHER POPULATION STATISTICS

The *U.S. Census Bureau, 2014-2018 American Community Survey 5-Year Estimates* reports the age breakdown of persons for City of Warren as follows:

| | Number | Percent |
|---|---|---|
| Total Population | 135,192 | 100.00% |
| Under 18 | 29,305 | 21.68% |
| 18-64 | 84,286 | 62.35% |
| 65 and over | 21,601 | 15.98% |

The *U.S. Census Bureau, 2014-2018 American Community Survey 5-Year Estimates* reports the household income breakdown for the City of Warren as follows:

| | Number | Percent |
|---|---|---|
| Less than $10,000 | 2,880 | 5.50% |
| $10,000 to $14,999 | 1,937 | 3.70% |
| $15,000 to $24,999 | 5,917 | 11.30% |
| $25,000 to $34,999 | 7,226 | 13.80% |
| $35,000 to $49,999 | 6,493 | 12.40% |
| $50,000 to $74,999 | 10,629 | 20.30% |
| $75,000 to $99,999 | 8,220 | 15.70% |
| $100,000 to $149,999 | 5,445 | 10.40% |
| $150,000 to $199,999 | 2,147 | 4.10% |
| $200,000 or more | 1,466 | 2.80% |

*Median Income: $52,739*

The *U.S. Census Bureau, 2014-2018 American Community Survey 5-Year Estimates* reports the industry breakdown of persons 16 years and over for the City of Warren as follows:

| | Number | Percent |
|---|---|---|
| Agriculture, Forestry, Fishing, Hunting & Mining | 19 | 0.03% |
| Arts, Entertainment, Recreation & Food Services | 7,784 | 11.70% |
| Construction | 3,332 | 5.01% |
| Educational, Health & Social Services | 13,036 | 19.59% |
| Finance, Insurance & Real Estate | 2,441 | 3.67% |
| Information | 504 | 0.76% |
| Manufacturing | 13,450 | 20.21% |
| Other Services except Public Administration | 3,756 | 5.65% |
| Professional, Scientific & Management Services | 7,239 | 10.88% |
| Public Administration | 2,196 | 3.30% |
| Retail Trade | 7,624 | 11.46% |
| Transportation, Warehousing & Utilities | 3,412 | 5.13% |
| Wholesale Trade | 1,742 | 2.62% |

**CITY OF WARREN**
**County of Macomb, State of Michigan**
**FY 2020 Amended Budget**

**GENERAL FUND**

| | FY20 ADOPTED BUDGET | FY20 AMENDED BUDGET |
|---|---|---|
| **REVENUES** | | |
| Property Taxes | $ 69,240,368 | $ 69,240,368 |
| Intergov. Revenues | 20,348,000 | 21,663,921 |
| Licenses and Permits | 3,905,000 | 3,905,000 |
| Fines and Forfeitures | 4,950,000 | 4,950,000 |
| Interest on Investments | 300,000 | 300,000 |
| Charges for Services | 4,536,500 | 4,536,500 |
| Miscellaneous Income | 8,664,863 | 8,664,863 |
| **TOTAL REVENUES** | 111,944,731 | 113,260,652 |
| **EXPENDITURES** | | |
| General Government | 27,955,686 | 33,696,221 |
| Public Safety | 70,255,767 | 71,772,265 |
| Public Services | 16,893,284 | 17,098,391 |
| Planning | 714,916 | 714,916 |
| **TOTAL APPROPRIATIONS** | 115,819,653 | 123,281,793 |
| TOTAL REVENUES ABOVE | $ (3,874,922) | $ (10,021,141) |
| OTHER FINANCING SOURCES | | |
| Lease Purchase Proceeds | - | - |
| Fund Balance Appropriated | 3,874,922 | 10,021,141 |
| Total Other Financing Sources | 3,874,922 | 10,021,141 |
| Excess (Deficit) of Revenues over | $ - | $ - |

**FISCAL YEAR 2021 BUDGET**

The City's FY 2021 Mayor's recommended budget can be found at the following link. The City Council and City Mayor have not agreed to a final, unified, FY 2021 budget as of the publication of this document.

City of Warren – Mayor's Recommended Budget – Fiscal Year 2021

CLARK HILL

Clark Hill PLC
500 Woodward Ave., Suite 3500
Detroit, MI 48226
T (313) 965-8300
F (313) 309-6946

clarkhill.com

John R. Axe
T (313) 309-9452
F (313) 309-6946
Email:JAxe@ClarkHill.com

September 25, 2020

Steven Burke
MFCI, LLC
400 North Main Street
Suite 304
Milford, MI 48381

Re: The following Bond Issues of the City of Warren (the "City")

$5,150,000 Capital Improvement Project Bond, Series 2009
$8,200,000 Capital Improvement Bonds, Series 2005
$6,465,000 Capital Improvement Bonds, Series 2004A
$1,220,000 Capital Improvement Bond, Series 2004
$4,750,000 Capital Improvement Bond, Series 2003A

Dear Steven,

At your request we have reviewed each of the captioned Bond Issues to determine if any of these issues were Revenue Bonds issued under the provisions of Act No. 94 of the Michigan Public Acts of 1933, as amended ("Act 94").

Our review of each issue clearly demonstrates that none of these issues involved "Revenue Bonds" issued under Act 94.

In addition, we have examined other examples of all other bond issues issued by the City, which are still outstanding and none of those other issues involved the issuance of Revenue Bonds under Act 94.

In Note 7 on page 46 of the City of Warren's Audited Financial Statement the following appears:

> "The City has pledged substantially all revenue of the Water and Sewer Fund, net of operating expenses, to repay the above water and sewer revenue bonds. Proceeds from the bonds provided financing for the

> construction of various capital improvements. The bonds are payable solely from the net revenue of the water and sewer system. The remaining principal and interest to be paid on the bonds total $132,044,785. During the current year, the increase in net position of the system was $1,827,871 compared to the annual debt requirements of $10,947,209."

In fact, on November 1, 2012 all revenue bonds issued by the City of Warren under Act 94 of the Public Act of Michigan of 1933, as amended ("Revenue Bonds") were called and redeemed.

No Revenue Bonds have been issued by the City since that time. Accordingly, none of the water and sewer revenues are subject to any pledge or lien at this time.

It is our opinion that the Note 7 set forth above is not accurate and that as of this date there are no bond issues of the City of Warren outstanding which have a pledge of water or sewer revenue of the City.

Very Truly Yours,

John R. Axe
Senior Attorney

## APPENDIX E

## CITY OF WARREN
## COMPREHENSIVE ANNUAL FINANCIAL REPORT
## FOR FISCAL YEAR ENDED JUNE 30, 2019

The auditor was not requested to examine or review and therefore has not examined or reviewed any financial documents, statements, or materials that have been or may be furnished in connection with the authorization, issuance, or marketing of the Bonds and accordingly has not conducted any post-audit review procedures and will not express any opinion with respect to the accuracy or completeness of such financial documents, statements or materials.

Link:
https://treas-secure.state.mi.us/LAFDocSearch/tl41R01.aspx?&lu_id=2997&doc_yr=2019&doc_code=AUD

CLARK HILL

Clark Hill PLC
500 Woodward Ave
Suite 3500
Detroit, MI 48226
T: 313.965.8300

clarkhill.com

December 9, 2020

**CITY OF WARREN**
Warren, Michigan

We have acted as bond counsel in connection with the issuance by the City of Warren, Macomb County, Michigan (the "City") of its $8,725,000 City of Warren Public Utility System Revenue Bonds, Series 2020 dated December 9, 2020 (the " Bonds"). The Bonds are being issued under Act No. 94, Public Acts of Michigan of 1933, as amended (the "Act"), and the City's Ordinance No. 80-754, adopted on October 27, 2020 (the "Ordinance"), for the purpose of financing improvements to the City's Public Utility System which includes the City's Water and Sanitary Sewer System.

In so acting, we have examined one executed and authenticated bond. As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials and others furnished to us without undertaking to verify the same by independent investigation. We have not been engaged nor have we undertaken to review the accuracy, completeness or sufficiency of the Official Statement or any other offering material relating to the Bonds (except to the extent, if any, stated in the Official Statement), and we express no opinion relating thereto (excepting only the matters set forth as our opinion in the Official Statement).

Based on the foregoing under existing law, we are of the opinion that:

1. The Bonds are valid and binding obligations of the City payable as to both principal and interest solely from the net revenues derived from the fees and charges of whatever nature charged to any customer of the City's entire Water Supply and Sewage Disposal System (the "System") and all fees and charges collected by the City for connection to the System as defined in the Ordinance. Such revenues have been irrevocably pledged by the City for the payment of principal of and interest on the Bonds. Such revenues so pledged shall be and remain subject to the lien (made a statutory lien by the Act) until the payment in full of the principal of and interest on the Bonds or until provision for such payment has been made by the deposit with the paying agent of sufficient moneys to pay when due the principal of and interest due and to become due on

the Bonds to and at maturity. In the event net revenues pledged for the payment of the Bonds are for any reason insufficient to pay the principal of and interest on the Bonds when due, the City is not obligated to advance moneys from its general funds to make up such deficiency.

2. Pursuant to Section 12, of the Ordinance, the City Council has authorized and there has been established a bond reserve account (the "Bond Reserve Account") which will be funded from a cash deposit made by the City. The Bond Reserve Account will be equal to the lesser of (1) the maximum annual debt service on the bonds issued and outstanding at any time under the Ordinance due in the current or any future year; (2) 125% of the average annual debt service of said bonds; or (3) 10% of the principal amount of said bonds. Said amount deposited in the Bond Reserve Account shall be used to pay principal of and interest on the Bonds in any years when the net revenues pledged are insufficient.

3. Under existing federal statutes, decisions, regulations and rulings, interest on the Bonds is excludable from gross income for federal income tax purposes. Interest on the Bonds is not an item of tax preference for purposes of the federal alternative minimum tax. The opinion set forth above is subject to the condition that the Issuer comply with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be (or continue to be) excluded from gross income for federal income tax purposes. Failure to comply with certain of such requirements could cause the interest on the Bonds to be so included in gross income retroactive to the date of issuance of the Bonds. The Issuer has covenanted to comply with all such requirements. We express no opinion regarding other federal tax consequences arising with respect to the Bonds.

4. The Bonds and interest thereon are exempt from all taxation provided by the laws of the State of Michigan except estate taxes and taxes on gains realized from the sale, payment or other disposition of the Bonds.

5. The Bonds have been designated by the City as "qualified tax-exempt obligations" for purposes of Section 265(b)(3)(B) of the Code.

The rights of holders of the Bonds may be affected by bankruptcy, reorganization, moratorium, receivership or other similar laws affecting the enforceability of creditors' rights now existing or hereafter enacted to the extent constitutionally applicable, and the enforcement of such rights may be subject to the exercise of judicial discretion in appropriate cases.

CLARK HILL PLC

By: John R. Axe

**Appendix G**
**CONTINUING DISCLOSURE CERTIFICATE**

CITY OF WARREN
$8,725,000
City of Warren,
Public Utility System Revenue Bonds, Series 2020

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the City of Warren (the "City") in connection with the issuance of its $9,150,000 Public Utility System Revenue Bonds, Series 2020 (the "Bonds"). This Disclosure Certificate is being executed and delivered pursuant to an Ordinance adopted by the City Council of the City on October 27, 2020 (the "Ordinance"). The City covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate.

(a) This Disclosure Certificate is being executed and delivered by the City for the benefit of the Bondholders and the Beneficial Owners and in order to assist the Participating Underwriters in complying with subsection (b)(5) of the Rule.

(b) In consideration of the purchase and acceptance of any and all of the Bonds by those who shall hold the same or shall own beneficial ownership interests therein from time to time, this Disclosure Certificate shall be deemed to be and shall constitute a contract between the City and the Bondholders and Beneficial Owners from time to time of the Bonds, and the covenants and agreements herein set forth to be performed on behalf of the City shall be for the benefit of the Bondholders and Beneficial Owners of any and all of the Bonds.

SECTION 2. Definitions. The following capitalized terms shall have the following meanings in this Disclosure Certificate:

"Annual Report" shall mean any Annual Report provided by the City pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Beneficial Owner" shall mean any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

"Dissemination Agent" shall mean the City, or any successor Dissemination Agent appointed in writing by the City and which has filed with the City a written acceptance of such designation.

"EMMA" shall mean the Electronic Municipal Market Access system of the MSRB. As of the date of this Disclosure Certificate, the EMMA Internet Web site address is http://www.emma.msrb.org.

"GAAP" shall mean generally accepted accounting principles, as such principles are prescribed, in part, by the Financial Accounting Standards Board and modified by the Government Accounting Standards Board and in effect from time to time.

"Listed Events" shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

"MSRB" shall mean the Municipal Securities Rulemaking Board.

"Official Statement" shall mean the Official Statement for the Bonds dated November 17, 2020.

"Participating Underwriter" shall mean any of the original underwriters of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

"Rule" shall mean Rule 15c2-12 promulgated by the SEC pursuant to the 1934 Act, as the same may be amended from time to time, together with all interpretive guidances or other official interpretations or explanations thereof that are promulgated by the SEC.

"SEC" shall mean the Securities and Exchange Commission.

"Securities Counsel" shall mean legal counsel expert in federal securities law.

"State" shall mean the State of Michigan.

"1934 Act" shall mean the Securities Exchange Act of 1934, as amended.

SECTION 3. Provision of Annual Reports.

(a) Each year, the City shall provide, or shall cause the Dissemination Agent to provide, not later than nine months after the first day of the City's fiscal year, commencing with the City's Annual Report for the fiscal year ending June 30, 2020, to the MSRB an Annual Report for the preceding fiscal year which is consistent with the requirements of Section 4 of this Disclosure Certificate. Currently, the City's fiscal year commences July 1. Not later than fifteen (15) business days prior to said date, the City shall provide the Annual Report to the Dissemination Agent (if other than the City). In each case, the Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided, however, that if the audited financial statements of the City are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements in a format similar to the audited financial statements most recently prepared for the City shall be included in the Annual Report.

(b) If the City is unable to provide to the MSRB an Annual Report by the date required in subsection (a), the City shall send a notice, in a timely manner, to the MSRB in substantially the form attached as Exhibit A.

(c) If the City's fiscal year changes, the City shall send written notice of such change to MSRB, in substantially the form attached as Exhibit B.

(d) If the Dissemination Agent is other than the City, the Dissemination Agent shall file a report with the City certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided.

(e) In connection with providing the Annual Report, the Dissemination Agent (if other than the City) is not obligated or responsible under this Disclosure Certificate to determine the sufficiency of the content of the Annual Report for purposes of the Rule or any other state or federal securities law, rule, regulation or administrative order.

SECTION 4. Content of Annual Reports. The City's Annual Report shall contain or incorporate by reference the following:

(a) The audited financial statements of the City for its fiscal year immediately preceding the due date of the Annual Report.

(b) An update of the financial information and operating data relating to the City of the same nature as that contained in the following tables in the Official Statement: "State Equalized Valuation," "Taxable Valuation," "Major Taxpayers," "City Tax Rate and Levies," "Tax Collection Record," "General Fund Revenues and Expenditures," "Largest Employers," and "Debt Statement," "History of Water Purchased and Sold," "Major Users," "Water and Sewer Rate Schedule," "Water and Sewer Fund Net Position," "Historical Revenue," "Expenditures and Coverage – Water and Sewer Fund."

The City's financial statements shall be audited and prepared in accordance with GAAP with such changes as may be required from time to time in accordance with State law.

Any or all of the items listed above may be included by specific reference to other documents available to the public on the MSRB's Internet Web site or filed with the SEC. The City shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events.

(a) The City covenants to provide, or cause to be provided, notice of any of the following events (the "Listed Events") with respect to the Bonds, if material, in a timely manner and in accordance with the Rule:

(1) Principal and interest payment delinquencies;

(2) Non-payment related defaults, if material;

(3) Unscheduled draws on debt service reserves reflecting financial difficulties;

(4) Unscheduled draws on credit enhancements reflecting financial difficulties;

(5) Substitution of credit or liquidity providers, or their failure to perform;

(6) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS

Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security;

(7) Modifications to rights of security holders, if material;

(8) Bond calls, if material, and tender offers;

(9) Defeasances;

(10) Release, substitution, or sale of property securing repayment of the securities, if material;

(11) Rating changes;

(12) Bankruptcy, insolvency, receivership or similar event of the obligated person;

(13) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

(14) Appointment of a successor or additional trustee or the change of name of a trustee, if material.

(15) Incurrence of a financial obligation of the obligated person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the obligated person, any of which affect security holders, if material; and

(16) Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the obligated person, any of which reflect financial difficulties.

The term financial obligation means a (i) debt obligations; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term financial obligation shall not include municipal securities as to which a final official statement has been provided to the Municipal Securities Rulemaking Board consistent with this rule.

(b) Whenever the City obtains knowledge of the occurrence of a Listed Event, the City shall as soon as possible determine if such event would be material under applicable federal securities laws. The City covenants that its determination of materiality will be in conformance with federal securities laws.

(c) If the City determines that the occurrence of a Listed Event would be material under applicable federal securities laws, the City shall promptly cause a notice of such occurrence to be filed with the MSRB. In connection with providing a notice of the occurrence of a Listed Event described in subsection (a)(9), the City shall include in the notice explicit disclosure as to whether the Bonds have been escrowed to maturity or escrowed to call, as well as appropriate disclosure of the timing of maturity or call.

(d) In connection with providing a notice of the occurrence of a Listed Event, the Dissemination Agent (if other than the City), solely in its capacity as such, is not obligated or responsible under this Disclosure Certificate to determine the sufficiency of the content of the notice for purposes of the Rule or any other state or federal securities law, rule, regulation or administrative order.

(e) The City acknowledges that the "rating changes" referred to above in Section 5(a)(11) of this Disclosure Certificate may include, without limitation, any change in any rating on the Bonds or other indebtedness for which the City is liable.

(f) The City acknowledges that it is not required to provide a notice of a Listed Event with respect to credit enhancement when the credit enhancement is added after the primary offering of the Bonds, the City does not apply for or participate in obtaining such credit enhancement, and such credit enhancement is not described in the Official Statement.

SECTION 6. Mandatory Electronic Filing with EMMA: All filings with the MSRB under this Disclosure Certificate shall be made by electronically transmitting such filings through the EMMA Dataport at http://www.emma.msrb.org as provided by the amendments to the Rule adopted by the SEC in Securities Exchange Act Release No. 59062 on December 5, 2008.

SECTION 7. Termination of Reporting Obligation.

(a) The City's obligations under this Disclosure Certificate shall terminate upon the legal defeasance of the Resolution or the prior redemption or payment in full of all of the Bonds. If the City's obligation to pay the principal of and interest on the Bonds is assumed in full by some other entity, such entity shall be responsible for compliance with the Disclosure Certificate in the same manner as if it were the City, and the City shall have no further responsibility hereunder.

(b) This Disclosure Certificate, or any provision hereof, shall be null and void in the event that the City (i) receives an opinion of Securities Counsel, addressed to the City, to the effect that those portions of the Rule, which require such provisions of this Disclosure Certificate, do not or no longer apply to the Bonds, whether because such portions of the Rule are invalid, have been repealed, amended or modified, or are otherwise deemed to be inapplicable to the Bonds, as shall be specified in such opinion, and (ii) delivers notice to such effect to the MSRB.

SECTION 8. Dissemination Agent. The City, from time to time, may appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Disseminating Agent. The initial Dissemination Agent shall be the City. Except as otherwise provided in this Disclosure

Certificate, the Dissemination Agent (if other than the City) shall not be responsible in any manner for the content of any notice or report prepared by the City pursuant to this Disclosure Certificate.

SECTION 9. Amendment; Waiver. (a) Notwithstanding any other provision of this Disclosure Certificate, this Disclosure Certificate may be amended, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(1) If the amendment relates to the provisions of Section 3(a), (b), (c), 4 or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;

(2) This Disclosure Certificate, as so amended or taking into account such waiver, would, in the opinion of Securities Counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(3) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Bondholders.

(b) In the event of any amendment to, or waiver of a provision of, this Disclosure Certificate, the City shall describe such amendment or waiver in the next Annual Report, and shall include a narrative explanation of the reason for the amendment or waiver. In particular, if the amendment results in a change to the annual financial information required to be included in the Annual Report pursuant to Section 4 of this Disclosure Certificate, the first Annual Report that contains the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of such change in the type of operating data or financial information being provided. Further, if the annual financial information required to be provided in the Annual Report can no longer be generated because the operations to which it related have been materially changed or discontinued, a statement to that effect shall be included in the first Annual Report that does not include such information.

(c) If the amendment results in a change to the accounting principles to be followed in preparing financial statements as set forth in Section 4 of this Disclosure Certificate, the Annual Report for the year in which the change is made shall include a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of such differences and the impact of the changes on the presentation of the financial information. To the extent reasonably feasible, the comparison shall also be quantitative. A notice of the change in accounting principles shall be sent by the City, or the Dissemination Agent (if other than the City) at the written direction of the City, to the MSRB.

SECTION 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the City from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the City chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that

which is specifically required by this Disclosure Certificate, the City shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 11. Failure to Comply. In the event of a failure of the City or the Dissemination Agent (if other than the City) to comply with any provision of this Disclosure Certificate, any Bondholder or Beneficial Owner may bring an action to obtain specific performance of the obligations of the City or the Dissemination Agent (if other than the City) under this Disclosure Certificate, but no person or entity shall be entitled to recover monetary damages under any circumstances, and any failure to comply with the obligations under this Disclosure Certificate shall not constitute a default with respect to the Bonds or under the Resolution.

SECTION 12. Duties of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate.

SECTION 13. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the City, the Dissemination Agent, the Participating Underwriters, the Bondholders and the Beneficial Owners, and shall create no rights in any other person or entity.

SECTION 14. Transmission of Information and Notices. Unless otherwise required by law or this Disclosure Certificate, and, in the sole determination of the City or the Dissemination Agent, as applicable, subject to technical and economic feasibility, the City or the Dissemination Agent, as applicable, shall employ such methods of information and notice transmission as shall be requested or recommended by the herein designated recipients of such information and notices.

SECTION 15. Additional Disclosure Obligations. The City acknowledges and understands that other State and federal laws, including, without limitation, the Securities Act of 1933, as amended, and Rule 10b-5 promulgated by the SEC pursuant to the 1934 Act, may apply to the City, and that under some circumstances, compliance with this Disclosure Certificate, without additional disclosures or other action, may not fully discharge all duties and obligations of the City under such laws.

SECTION 16. Governing Law. This Disclosure Certificate shall be construed and interpreted in accordance with the laws of the State, and any suits and actions arising out of this Disclosure Certificate shall be instituted in a court of competent jurisdiction in the State. Notwithstanding the foregoing, to the extent this Disclosure Certificate addresses matters of federal securities laws, including the Rule, this Disclosure Certificate shall be construed and interpreted in accordance with such federal securities laws and official interpretations thereof.

CITY OF WARREN

By: _____

Richard Fox
Its: Controller

Date: December 9, 2020

EXHIBIT A

NOTICE TO
THE MSRB
OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: City of Warren, Michigan

Name of Bond Issue: $_____ City of Warren Public Utility System Revenue Bonds, Series 2020

Date of Bonds: _____, 20__

NOTICE IS HEREBY GIVEN that the Issuer has not provided an Annual Report with respect to the above-named Bonds as required by Section 3 of its Continuing Disclosure Certificate with respect to the Bonds. The Issuer anticipates that the Annual Report will be filed by _____, ____.

CITY OF WARREN

By: _____

Its: _____

Dated: _____, ____

EXHIBIT B

NOTICE TO
THE MSRB
OF CHANGE IN ISSUER'S FISCAL YEAR

Name of Issuer: City of Warren, Michigan

Name of Bond Issue: $_____ City of Warren M Public Utility System Revenue Bonds, Series 2020

Date of Bonds: _____, 20__

NOTICE IS HEREBY GIVEN that the Issuer's fiscal year has changed. Previously, the Issuer's fiscal year ended on _____, ____. It now ends on _____, ____.

CITY OF WARREN

By: _____

Its: _____

Dated: _____, ____

**Appendix H**

**CITY OF WARREN, MICHIGAN**

**ORDINANCE NO. 80-784**

AN ORDINANCE TO PROVIDE FOR THE ISSUANCE AND SALE OF PUBLIC UTILITY SYSTEM REVENUE BONDS TO PAY THE COST OF ACQUIRING, CONSTRUCTING AND EQUIPPING IMPROVEMENTS TO THE WATER SUPPLY AND SEWAGE DISPOSAL SYSTEM OF THE CITY; TO PRESCRIBE THE FORM OF THE BONDS; TO PROVIDE FOR THE COLLECTION OF REVENUES FROM THE SYSTEM SUFFICIENT FOR THE PURPOSE OF PAYING THE COSTS OF OPERATION AND MAINTENANCE OF THE SYSTEM AND TO PAY THE PRINCIPAL OF AND INTEREST ON THE BONDS AND CERTAIN OUTSTANDING BONDS OF THE SYSTEM; TO PROVIDE AN ADEQUATE RESERVE FUND FOR THE BONDS AND OUTSTANDING BONDS OF THE SYSTEM; TO PROVIDE FOR THE SEGREGATION AND DISTRIBUTION OF THE REVENUES; TO PROVIDE FOR THE RIGHTS OF THE HOLDERS OF THE BONDS AND FUTURE OUTSTANDING BONDS OF THE SYSTEM IN ENFORCEMENT THEREOF; AND TO PROVIDE FOR OTHER MATTERS RELATING TO THE SYSTEM AND THE BONDS AND FUTURE OUTSTANDING BONDS OF THE SYSTEM.

THE CITY OF WARREN ORDAINS:

Section 1. Definitions. Whenever used in this Ordinance, except when otherwise indicated by the context, the following terms shall have the following meanings:

(a) "Act 94" means Act 94, Public Acts of Michigan, 1933, as amended.

(b) "Authorized Officer" means the City Controller.

(c) "Bonds" means the Series 2020 Bonds, and any additional Bonds of equal standing hereafter issued.

(d) "Issuer" or "City" means the City of Warren, County of Macomb, State of Michigan.

(e) "Project" means the improvements to the System of the City, all as described in the Resolution adopted by the City Council on August 11, 2020 including the water system and wastewater treatment plan upgrades and improvements and lift station upgrades, together with all necessary appurtenances and attachments.

(f) "Revenues" and "Net Revenues" mean the revenues and net revenues of the System and shall be construed as defined in Section 3 of Act 94, including with respect to "Revenues", the earnings derived from the investment of moneys in the various funds and accounts established by this Ordinance.

(g) "Sale Order" means the Sales Order to be executed by the Authorized Officer of the Issuer respecting the sale of the Series 2020 Bonds.

(h) "Series 2020 Bonds" means the Public Utility System Revenue Bonds, Series 2020, authorized pursuant to this ordinance.

(i) "Sufficient Government Obligations" means direct obligations of the United States of America or obligations the principal and interest on which is fully guaranteed by the United States of America, not redeemable at the option of the issuer, the principal and interest payments upon which, without reinvestment of the interest, come due at such times and in such amounts as to be fully sufficient to pay the interest as it comes due on the Bonds and the principal and redemption premium, if any, on the Bonds as it comes due whether on the stated maturity date or upon earlier redemption. Securities representing such obligations shall be placed in trust with a bank or trust company, and if any of the Bonds are to be called for redemption prior to maturity, irrevocable instructions to call the Bonds for redemption shall be given to the paying agent.

(j) "System" means the entire Water Supply and Sewage Disposal System of the City.

(k) "Transfer Agent" means The Huntington National Bank, Grand Rapids, Michigan.

Section 2. Necessity; Public Purpose; Estimated Cost and Life of Project. It is hereby determined to be a necessary public purpose of the Issuer to acquire and construct the Project. The estimated cost of acquiring and constructing the Project, including capitalized interest, contingencies, engineering, legal and financing expenses, in an amount not to exceed Nine Million Nine Hundred Twenty-Five Dollars ($9,925,000), is hereby approved. The Issuer does hereby estimate the period of usefulness of the Project to be at least thirty (30) years.

Section 3. Payment of Cost; Bonds Authorized. To pay the costs associated with acquiring and constructing the Project, including all capitalized interest, legal, financial and other expenses incident thereto and incident to the issuance and sale of the Series 2020 Bonds, the Issuer shall borrow the sum of not to exceed Nine Million Nine Hundred Twenty-Five Dollars ($9,925,000), as finally determined in the Sale Order and issue the Series 2020 Bonds pursuant to the provisions of Act 94. The remaining costs, if any, shall be defrayed from System funds on hand and legally available for such use.

Section 4. Bond Details, Registration and Execution. The Series 2020 Bonds shall be designated PUBLIC UTILITY SYSTEM REVENUE BONDS, SERIES 2020 , shall be payable solely and only out of the Net Revenues, shall consist of bonds of the denomination of $5,000, or integral multiples of $5,000 not exceeding in any one year the amount maturing in that year, dated as of the date of delivery or such other date as shall be determined in the Sale Order, numbered in order of registration, and shall mature on July 1st in the years and amounts as follows (if $9,015,000 in Bonds are issued), or such other years of maturity and principal amounts as shall be determined in the Sale Order:

| Year | Amount | Year | Amount |
|---|---|---|---|
| 7/1/2021 | $205,000 | 7/1/2034 | $365,000 |
| 7/1/2022 | 255,000 | 7/1/2035 | 375,000 |
| 7/1/2023 | 260,000 | 7/1/2036 | 385,000 |
| 7/1/2024 | 270,000 | 7/1/2037 | 400,000 |
| 7/1/2025 | 280,000 | 7/1/2038 | 410,000 |
| 7/1/2026 | 285,000 | 7/1/2039 | 425,000 |
| 7/1/2027 | 295,000 | 7/1/2040 | 435,000 |
| 7/1/2028 | 305,000 | 7/1/2041 | 450,000 |
| 7/1/2029 | 315,000 | 7/1/2042 | 465,000 |
| 7/1/2030 | 320,000 | 7/1/2043 | 480,000 |
| 7/1/2031 | 335,000 | 7/1/2044 | 490,000 |
| 7/1/2032 | 345,000 | 7/1/2045 | 510,000 |
| 7/1/2033 | 355,000 | | |

The Series 2020 Bonds shall bear interest at the rate specified in the Sale Order, but not to exceed 5.00% per annum, payable on July 1 and January 1 of each year, commencing July 1, 2021, or such later date as shall be determined in the Sale Order, by check or draft mailed by the Transfer Agent to the person or entity which is, as of the 15th day of the month preceding the interest payment date, the registered owner at the registered address as shown on the registration books of the Issuer maintained by the Transfer Agent. The date of determination of registered owner for purposes of payment of interest as provided in this paragraph may be changed by the Issuer to conform to market practice in the future. The principal of the Series 2020 Bonds shall be payable at the designated corporate trust office of the Transfer Agent. The Series 2020 Bonds shall be sold at a price not less than 99% of their par value.

Bonds maturing prior to the year 2031 shall not be subject to redemption prior to maturity. Bonds or portions of bonds in multiples of $5,000 maturing in the year 2031 and thereafter shall be subject to redemption prior to maturity, at the option of the City, in any order of maturity and by lot within any maturity, on any date on or after July 1, 2030, at par and accrued interest to the date fixed for redemption.

In case less than the full amount of an outstanding Bond is called for redemption, the Transfer Agent upon presentation of the Bond called in part for redemption shall register, authenticate and deliver to the registered owner a new bond in the principal amount of the portion of the original bond not called for redemption. Notice of redemption shall be given in the manner specified in the form of the Bonds contained in Section 14 of this Ordinance.

Section 5. Execution of Bonds. The Series 2020 Bonds shall be executed in the name of the Issuer with the manual or facsimile signatures of the Mayor and the City Clerk and shall have a facsimile of the Issuer's seal printed on them. No Bond shall be valid until authenticated by an authorized signer of the Transfer Agent. The Series 2020 Bonds shall be delivered to the Transfer Agent for authentication and be delivered by the Transfer Agent to the purchaser thereof

in accordance with instructions from the City Controller of the Issuer upon payment of the purchase price for the Series 2020 Bonds in accordance with the bid therefor when accepted. Executed blank bonds for registration and issuance to transferees shall simultaneously, and from time to time thereafter as necessary, be delivered to the Transfer Agent for safekeeping.

Section 6. Registration and Transfer. Any Bond may be transferred upon the books required to be kept pursuant to this section by the person in whose name it is registered, in person or by the registered owner's duly authorized attorney, upon surrender of the Bond for cancellation, accompanied by delivery of a duly executed written instrument of transfer in a form approved by the Transfer Agent. Whenever any Bond or Bonds shall be surrendered for transfer, the Issuer shall execute and the transfer agent shall authenticate and deliver a new Bond or Bonds, for like aggregate principal amount. The Transfer Agent shall require payment by the bondholder requesting the transfer of any tax or other governmental charge required to be paid with respect to the transfer. The Transfer Agent shall not be required (i) to issue, register the transfer of or exchange any Bond during a period beginning at the opening of business 15 days before the day of the giving of a notice of redemption of Bonds selected for redemption as described in the form of Bonds contained in Section 17 of this Ordinance and ending at the close of business on the day of that giving of notice, or (ii) to register the transfer of or exchange any Bond so selected for redemption in whole or in part, except the unredeemed portion of Bonds being redeemed in part.

The Transfer Agent shall keep or cause to be kept, at its principal office, sufficient books for the registration and transfer of the Series 2020 Bonds, which shall at all times be open to inspection by the Issuer; and, upon presentation for such purpose, the Transfer Agent shall, under such reasonable regulations as it may prescribe, transfer or cause to be transferred, on said books, Bonds as hereinbefore provided.

If any Bond shall become mutilated, the Issuer, at the expense of the holder of the Bond, shall execute, and the Transfer Agent shall authenticate and deliver, a new Bond of like tenor in exchange and substitution for the mutilated Bond, upon surrender to the Transfer Agent of the mutilated Bond. If any Bond issued under this Ordinance shall be lost, destroyed or stolen, evidence of the loss, destruction or theft may be submitted to the Transfer Agent and, if this evidence is satisfactory to both and indemnity satisfactory to the Transfer Agent shall be given, and if all requirements of any applicable law including Act 354, Public Acts of Michigan, 1972, as amended ("Act 354"), being sections 129.131 to 129.135, inclusive, of the Michigan Compiled Laws have been met, the Issuer, at the expense of the owner, shall execute, and the Transfer Agent shall thereupon authenticate and deliver, a new Bond of like tenor and bearing the statement required by Act 354, or any applicable law hereafter enacted, in lieu of and in substitution for the Bond so lost, destroyed or stolen. If any such Bond shall have matured or shall be about to mature, instead of issuing a substitute Bond the Transfer Agent may pay the same without surrender thereof.

The Bonds may be issued in book-entry-only form through the Depository Trust Company in New York, New York ("DTC") and any officer of the City is authorized to execute such custodial or other agreement with DTC as may be necessary to accomplish the issuance of the Bonds in book-entry-only form and to make such changes in the Bond form with the parameters of this resolution as may be required to accomplish the foregoing.

Section 7. Payment of Series 2020 Bonds; Security. The Issuer hereby pledges the Net Revenues of the System for the prompt payment of the Series 2020 Bonds. The Series 2020 Bonds

and the interest thereon shall be payable solely and only from the Net Revenues, and to secure such payment, there is hereby created a lien, made a statutory lien by Section 8 of Act 94, upon the whole of the Net Revenues which shall be a first lien to continue until payment in full of the principal of and interest on all Bonds payable from the Net Revenues, or, until sufficient cash or Sufficient Government Obligations have been deposited in trust for payment in full of all Bonds of a series then outstanding, principal and interest on such Bonds to maturity, or, if called for redemption, to the date fixed for redemption together with the amount of the redemption premium, if any. The statutory first lien referred to herein shall be of equal standing and priority with the City's future Outstanding Bonds, if any. Upon deposit of cash or Sufficient Government Obligations, as provided in the previous sentence, the statutory lien shall be terminated with respect to that series of Bonds, the holders of that series shall have no further rights under this Ordinance except for payment from the deposited funds, and the Bonds of that series shall no longer be considered to be outstanding under this Ordinance.

Section 8. Bondholders' Rights; Receiver. The holder or holders of the Series 2020 Bonds representing in the aggregate not less than twenty percent (20%) of the entire principal amount thereof then outstanding, may, by suit, action, mandamus or other proceedings, protect and enforce the statutory lien upon the Net Revenues of the System, and may, by suit, action, mandamus or other proceedings, enforce and compel performance of all duties of the officers of the Issuer, including the fixing of sufficient rates, the collection of Revenues, the proper segregation of the Revenues of the System and the proper application thereof. The statutory lien upon the Net Revenues, however, shall not be construed as to compel the sale of the System or any part thereof.

If there is a default in the payment of the principal of or interest on the Series 2020 Bonds, any court having jurisdiction in any proper action may appoint a receiver to administer and operate the System on behalf of the Issuer and under the direction of the court, and by and with the approval of the court to perform all of the duties of the officers of the Issuer more particularly set forth herein and in Act 94.

The holder or holders of the Series 2020 Bonds shall have all other rights and remedies given by Act 94 and law, for the payment and enforcement of the Series 2020 Bonds and the security therefor.

Section 9. Rates and Charges. The rates and charges for service furnished by and the use of the System and the methods of collection and enforcement of the collection of the rates shall be those in effect on the date hereof, as the same shall be increased from time to time.

Section 10. No Free Service or Use. No free service or use of the System, or service or use of the System at less than the reasonable cost and value thereof, shall be furnished by the System to any person, firm or corporation, public or private, or to any public agency or instrumentality, including the Issuer.

Section 11. Fixing and Revising Rates: Rate Covenant. The rates presently in effect in the City are estimated to be sufficient to provide for the payment of the expenses of administration and operation and such expenses for maintenance of the System as are necessary to preserve the System in good repair and working order, to provide for the payment of the principal of and interest on the Bonds as the same become due and payable, and the maintenance of the reserve therefor and to provide for all other obligations, expenditures and funds for the System required by law and this

Ordinance. In addition, the rates shall be set from time to time so that there shall be produced Net Revenues in an amount equal to 120% of the principal of and interest on the Bonds coming due in each fiscal year. The rates shall be reviewed not less than once a year and shall be fixed and revised from time to time as may be necessary to produce these amounts, and it is hereby covenanted and agreed to fix and maintain rates for services furnished by the System at all times sufficient to provide for the foregoing

Section 12. Funds and Accounts; Flow of Funds. Commencing on December 1, 2020, all funds belonging to the System shall be transferred as herein indicated and all Revenues of the System shall be set aside as collected and credited to a fund to be designated WATER AND SEWER RECEIVING FUND (the "Receiving Fund"). In addition, on December 1, 2020, all Revenues in any accounts of the System shall be transferred to the Receiving Fund and credited to the funds and accounts as provided in this section. The Revenues credited to the Receiving Fund are pledged for the purpose of the following funds and shall be transferred or debited from the Receiving Fund periodically in the manner and at the times and in the order of priority hereinafter specified:

A. OPERATION AND MAINTENANCE FUND:

Out of the Revenues credited to the Receiving Fund there shall be first set aside in, or credited to, a fund designated OPERATION AND MAINTENANCE FUND (the "Operation and Maintenance Fund"), monthly a sum sufficient to provide for the payment of the next month's expenses of administration and operation of the System and such current expenses for the maintenance thereof as may be necessary to preserve the same in good repair and working order.

A budget, showing in detail the estimated costs of administration, operation and maintenance of the System for the next ensuing operating year, shall be prepared by the City Council at least 30 days prior to the commencement of each ensuing operating year. No payments shall be made to the Issuer from moneys credited to the Operation and Maintenance Fund except for services directly rendered to the System by the Issuer or its personnel.

B. BOND AND INTEREST REDEMPTION FUND:

There shall be established and maintained a separate depositary fund designated BOND AND INTEREST REDEMPTION FUND (the "Redemption Fund"), the moneys on deposit therein from time to time to be used solely for the purpose of paying the principal of, redemption premiums (if any) and interest on the Bonds. The moneys in the Redemption Fund (including the Bond Reserve Account) shall be kept on deposit with the bank or trust company where the principal of and interest on the Bonds, or any series thereof, are payable.

Out of the Revenues remaining in the Receiving Fund, after provision for the Operation and Maintenance Fund, there shall be set aside each month commencing January 1 in the Redemption Fund a sum proportionately sufficient to provide for the payment when due of the current principal of and interest on the Bonds, less any amount in the Redemption Fund representing accrued interest on the Bonds or investment income on amounts on deposit in the Redemption Fund, (including investment income on amounts held as part of the Bond Reserve Account). Commencing January 1, 2021, the amount set aside each month for interest on the Bonds shall be 7/12ths of the total amount of interest on the Bonds next coming due. Commencing July 1, 2021, the amount set aside each month for interest on the Bonds shall be 1/6 of the total amount of interest on the Bonds next coming due. The amount set aside each month for principal, commencing January 1, 2021, shall be 7/12ths of the amount of principal next coming due by maturity and the amount set aside each month for principal payment commencing July 1, 2021, shall be 1/12 of the amount of principal next coming due by maturity. If there is any deficiency in the amount previously set aside, that deficiency shall be added to the next succeeding monthly requirements. The

amount to be set aside for the payment of principal and interest on any date shall not exceed the amount which, when added to the money on deposit in the Redemption Fund, including investment income thereon and on the Bond Reserve Account, is necessary to pay principal and interest due on the Bonds on the next succeeding principal payment date.

There is established a separate account in the Redemption Fund to be known as the BOND RESERVE ACCOUNT (the "Bond Reserve Account"). There shall be deposited in the Bond Reserve Account the sum of $_____ for the proceeds of the 2020 Bonds. Thereafter the Bond Reserve Account shall be limited to the "Reserve Amount" which is defined as the lesser of (1) the maximum annual debt service due in the current or any future year, (2) 125% of the average annual debt service or (3) 10% of the principal amount of the bonds. Interest on the Bond Reserve Account must be transferred into the Redemption Fund once the Reserve Amount has been reached.

Except as otherwise provided in this Section, the moneys credited to the Bond Reserve Account shall be used solely for the payment of the principal of, redemption premiums (if any) and interest on the Bonds as to which there would otherwise be a default. If at any time it shall be necessary to use moneys credited to the Bond Reserve Account for such payment, then the moneys so used shall be replaced from the Net Revenues first received thereafter which are not required for current principal and interest requirements until the amount on deposit equals the Reserve Amount. If additional Bonds are issued, each Ordinance authorizing the additional Bonds shall provide for additional deposits to the Bond Reserve Account to be made from the proceeds of the additional Bonds or Issuer funds on hand and legally available for such use in an amount that will result in the Bond Reserve Account being equal to the maximum annual principal and interest requirements on the Bonds outstanding after issuance of the additional Bonds, or such lesser amount as may be necessary to maintain the tax-exempt status of the Bonds. If on any February 1st the amount in the Bond Reserve Account exceeds the Reserve Amount, the excess shall be transferred to the Redemption Fund for payment of principal and interest on the Bonds due on that date.

C. REPLACEMENT FUND:

There shall next be established and maintained a fund, separate depositary account, designated REPLACEMENT FUND (the "Replacement Fund"), the money credited thereto to be used solely for the purpose of making repairs and replacements to the System. Out of the Revenues and moneys of the System remaining in the Receiving Fund each month after provision has been made for the deposit of moneys in the Operation and Maintenance Fund and the Redemption Fund (including the Bond Reserve Account), there may be deposited in the Replacement Fund such additional funds as the City Council may deem advisable. If at any time it shall be necessary to use moneys in the Replacement Fund for the purpose for which the Replacement Fund was established, the moneys so used shall be replaced from any moneys in the Receiving Fund which are not required by this Ordinance to be used for the Operation and Maintenance Fund or the Redemption Fund (including the Bond Reserve Account).

D. IMPROVEMENT FUND:

Out of the remaining Revenues in the Receiving Fund, after meeting the requirements of the Operation and Maintenance Fund, the Redemption Fund (including the Bond Reserve Account) and the Replacement Fund, there may be next set aside in or credited to a fund to be designated IMPROVEMENT FUND (the "Improvement Fund"), which Improvement Fund may have several subaccounts therein, such sums monthly as the Issuer may deem advisable to be used for additions, improvements, enlargements or extensions to the System, including the planning thereof.

E. SURPLUS MONEYS:

Thereafter, any Revenues in the Receiving Fund after satisfying all the foregoing requirements of this Section may, at the discretion of the Issuer, be used for any of the following purposes:

1. Transferred to the Replacement Fund, the Improvement Fund or both.

2. Transferred to the Redemption Fund and used for the purchase of Bonds on the open market at not more than the fair market value thereof or used to redeem Bonds prior to maturity pursuant to Section 5 of this Ordinance.

3. Any other use permitted by law.

Section 13. Priority of Funds. In the event the moneys in the Receiving Fund are insufficient to provide for the current requirements of the Operation and Maintenance Fund or the Redemption Fund, any moneys or securities in other funds of the System, except the proceeds of sale of the Bonds, shall be credited or transferred, first, to the Operation and Maintenance Fund, and second to the Redemption Fund.

Section 14. Depositary and Funds on Hand. Moneys in the several funds and the accounts established pursuant to this Ordinance, except moneys in the Redemption Fund (including the Bond Reserve Account) and moneys derived from the proceeds of sale of the Bonds, may be kept in one or more bank accounts at a bank or banks designated by resolution of the Issuer, and if kept in one bank account the moneys shall be allocated on the books and records of the Issuer in the manner and at the times provided in this Ordinance.

Section 15. Investments. Moneys in the funds and accounts established herein and moneys derived from the proceeds of sale of the Bonds, may be invested by the Issuer in United States of America obligations or in obligations the principal of and interest on which is fully guaranteed by the United States of America and any investments hereafter permitted by law, and moneys derived from the proceeds of sale of the Bonds may also be invested in certificates of deposit of any bank whose deposits are insured by the Federal Deposit Insurance Corporation. Investment of moneys in the Redemption Fund being accumulated for payment of the next maturing principal or interest payment of the Bonds shall be limited to obligations bearing maturity dates prior to the date of the next maturing principal or interest payment on the Bonds. Investment of moneys in the Bond Reserve Account shall be limited to obligations bearing maturity dates or subject to redemption, at the option of the holder thereof, not later than five years from the date of the investment. In the event investments are made, any securities representing the same shall be kept on deposit with the bank or trust company having on deposit the fund or funds or account from which the purchase was made. Profit realized or interest income earned on investment of funds in the Receiving Fund, Operation and Maintenance Fund and Improvement Fund shall be deposited in or credited to the Receiving Fund at the end of each fiscal year. Profit realized on interest income earned on investment of moneys in the Redemption Fund including income derived from the Bond Reserve Account shall be credited as received to the Redemption Fund.

Section 16. Disposition of Bond Proceeds. There is hereby established in a bank insured by the Federal Deposit Insurance Corporation to be selected by the Authorized Officer, a separate depositary account to be designated "Public Utility System Revenue Bonds Series 2020 Construction Fund", the moneys from time to time on deposit to be used solely to pay the cost of the Project and the incidental costs set forth in Section 4 of this Ordinance. The proceeds of sale of the Series 2020 Bonds shall be allocated and used as follows, or as set forth in the Sale Order:

First, any premium, accrued interest and the amount necessary to fund capitalized interest for the Series 2020 Bonds, if any, shall be deposited into the Bond and Interest Redemption Fund established by this Ordinance.

Second, an amount necessary to fully fund the Bond Reserve Account shall be deposited into the Reserve Account in the Bond and Interest Redemption Fund.

Third, the amount of funds necessary to pay the costs of the Project and the costs of issuance of the Series 2020 Bonds, as set forth in the Sale Order, shall be deposited in the

Public Utility System Revenue Bonds Series 2020 Construction Fund. Moneys in the Construction Fund shall be applied solely in payment of the cost of the acquisition and construction of the Project, including any engineering expenses incident thereto. Any payments for construction, either on account or otherwise, shall not be made unless the registered engineer in charge of such work shall file with the City Council a signed statement to the effect that the work has been completed in accordance with the plans and specifications therefor; that it was done pursuant to and in accordance with the contract therefor (including properly authorized change orders), that the work is satisfactory and that any such work has not been previously paid for. The investment of the Bonds shall be limited as may be required by federal law.

Any unexpended balance of the proceeds of sale of the Bonds remaining after completion of the Project in the Construction Fund shall in the discretion of the City Council be used either for further improvements, enlargements and extension to the System, if, at the time of such expenditures, such use is approved by the Michigan Department of Treasury, if such permission is then required by law. Any remaining balance after such expenditure, or in the event no such expenditure is made, the entire unexpended balance shall be paid into the Bond and Interest Redemption Fund and used for the redemption or purchase of callable Bonds or for any other purpose permitted by Act 94. The proceeds of sale of said bonds may be invested in whole or in part in the manner provided by Act 94.

Section 17. Bond Form. The Series 2020 Bonds shall be in substantially the following form with such changes as may be approved by the Authorized Officer and Bond Counsel:

UNITED STATES OF AMERICA
STATE OF MICHIGAN
COUNTY OF MACOMB

**CITY OF WARREN**
**PUBLIC UTILITY SYSTEM REVENUE BOND,**
**SERIES 2020**

| Interest Rate | Maturity Date | Date of Original Issue | CUSIP |
|---|---|---|---|
| | July 1, 20__ | _____ , 20__ | |

REGISTERED OWNER: _____

PRINCIPAL AMOUNT: _____ Dollars ($_____)

The City of Warren, County of Macomb, State of Michigan (the "Issuer"), for value received, hereby promises to pay, solely and only out of the hereinafter described Net Revenues of the Issuer's Public Utility System (hereinafter defined) the Principal Amount shown above in lawful money of the United States of America to the Registered Owner shown above, or registered assigns, on the Maturity Date shown above, unless prepaid prior thereto as hereinafter provided, with interest thereon (computed on the basis of a 360-day year consisting of twelve 30-day months) from the Date of Original Issue shown above or such later date to which interest has been paid, until paid, at the Interest Rate per annum shown above, first payable on July 1, 2021, and semiannually thereafter. Principal of this bond is payable upon surrender of this bond at the corporate trust office of The Huntington National Bank, Grand Rapids, Michigan (the "Transfer Agent") or such other Transfer Agent as the Issuer may hereafter designate by notice mailed to the registered owner not less than 60 days prior to any interest payment date. Interest on this bond is payable by check or draft mailed by the Transfer Agent to the person or entity who is, as of the 15th day of the month preceding the interest payment date, the registered owner of record, at the registered address as shown on the registration books of the Issuer kept by the Transfer Agent. For prompt payment of principal and interest on this bond, the Issuer has irrevocably pledged the revenues of the Public Utility System of the Issuer (the "System"), including all appurtenances, extensions and improvements thereto, after provision has been made for reasonable and necessary expenses of operation, maintenance and administration (the "Net Revenues"), and a statutory first lien thereon is hereby recognized and created.

This bond is one of a series of bonds of even Date of Original Issue aggregating the principal sum of _____ Million Dollars ($_____), issued pursuant to Ordinances No. ____ of the Issuer, duly adopted by the City Council of the Issuer (together, the "Ordinances"), and under and in full compliance with the Constitution and statutes of the State of Michigan, including specifically Act 94, Public Acts of Michigan, 1933, as amended, for the purpose of paying the cost of acquiring and constructing additions, extensions and improvements to the System.

For a complete statement of the revenues from which and the conditions under which this bond is payable, a statement of the conditions under which additional bonds of equal standing as to the Net Revenues may hereafter be issued and the general covenants and provisions pursuant to which this bond is issued, reference is made to the Ordinance.

Bonds of this issue maturing in the years 2021 to 2030, inclusive, are not subject to redemption prior to maturity. Bonds or portions of bonds in multiples of $5,000 maturing in the year 2031 and thereafter may be redeemed at the option of the Issuer, in such order as the Issuer shall determine and within any maturity by lot, on any date on or after July 1, 2030 at par and accrued interest to the date fixed for redemption.

[insert any mandatory redemption or extraordinary redemption provisions]

In case less than the full amount of an outstanding bond is called for redemption the Transfer Agent upon presentation of the bond called in part for redemption shall register, authenticate and deliver to the registered owner a new bond in the principal amount of the portion of the original bond not called for redemption.

Notice of redemption of any bond or portion thereof shall be given by the Transfer Agent at least thirty (30) days prior to the date fixed for redemption by mail to the registered owner at the registered address shown on the registration books kept by the Transfer Agent. Bonds shall be called for redemption in multiples of $5,000 and any bond of a denomination of more than $5,000 shall be treated as representing the number of bonds obtained by dividing the denomination of the bond by $5,000 and such bond may be redeemed in part. Notice of redemption for a bond redeemed in part shall state that upon surrender of the bond to be redeemed a new bond or bonds in aggregate principal amount equal to the unredeemed portion of the bonds surrendered shall be issued to the registered owner thereof. No further interest on a bond or portion thereof called for redemption shall accrue after the date fixed for redemption, whether presented for redemption or not, provided funds are on hand with the Transfer Agent to redeem the bond or portion thereof.

This bond is a self-liquidating bond and is not a general obligation of the Issuer and does not constitute an indebtedness of the Issuer within any constitutional, statutory or charter debt limitation of the Issuer but is payable solely and only, both as to principal and interest, from the Net Revenues of the System. The principal of and interest on this bond are secured by the statutory lien hereinbefore mentioned.

The Issuer has covenanted and agreed, and does hereby covenant and agree, to fix and maintain at all times while any bonds payable from the Net Revenues of the System shall be outstanding, such rates for service furnished by the System as shall be sufficient to provide for payment of the interest on and the principal of the bonds of this issue, any other outstanding bonds and any additional bonds of equal standing as and when the same shall become due and payable, and to create and maintain a bond redemption fund (including a bond reserve account) therefor, to provide for the payment of expenses of administration and operation and such expenses for maintenance of the System as are necessary to preserve the same in good repair and working order, and to provide for such other expenditures and funds for the System as are required by the Ordinances.

This bond is transferable only upon the books of the Issuer kept for that purpose at the office of the Transfer Agent by the registered owner hereof in person, or by the registered owner's attorney duly authorized in writing, upon the surrender of this bond together with a written instrument of transfer satisfactory to the Transfer Agent duly executed by the registered owner or the registered owner's attorney duly authorized in writing, and thereupon a new registered bond or bonds in the same aggregate principal amount and of the same maturity shall be issued to the transferee in exchange therefor as provided in the Ordinances authorizing the bonds, and the Outstanding Bonds, and upon the payment of the charges, if any, therein prescribed.

It is hereby certified and recited that all acts, conditions and things required by law precedent to and in the issuance of this bond and the series of bonds of which this is one have been done and performed in regular and due time and form as required by law.

This bond is not valid or obligatory for any purpose until the Transfer Agent's Certificate of Authentication on this bond has been executed by the Transfer Agent.

IN WITNESS WHEREOF, the City of Warren, County of Macomb, State of Michigan, by its City Council, has caused this bond to be executed with the facsimile signatures of its Mayor and its City Clerk and a facsimile of its corporate seal to be printed on this bond, all as of the Date of Original Issue.

**CITY OF WARREN**

By: _____
Mayor

(Seal)

Countersigned:

_____
City Clerk

[FORM OF TRANSFER AGENT'S CERTIFICATE OF AUTHENTICATION]
CERTIFICATE OF AUTHENTICATION

This bond is one of the bonds described in the within-mentioned Ordinances.

**THE HUNTINGTON NATIONAL BANK**, Grand Rapids, Michigan
Transfer Agent

By: _____
Authorized Signatory

Date of Registration:

Section 18. Adjustment of Bond Terms. The Authorized Officer is hereby authorized to adjust the final bond details as set forth herein to the extent necessary or convenient to complete the sale of the Series 2020 Bonds and in pursuance of the forgoing is each authorized to exercise the authority and make the determinations pursuant to Sections 7a(1)(c)(i) and (v) of Act 94, including but not limited to determinations regarding interest rates, prices, discounts, maturities, principal amounts, denominations, date of issuance, interest payment dates, redemption rights, and other matters within the parameters established by this Ordinance.

Section 19. Notice of Sale; Sale Order; Award of Sale of Series 2020 Bonds. The Authorized Officer is hereby authorized to fix a date of sale for the Series 2020 Bonds and to publish a notice of sale of the Series 2020 Bonds in The Bond Buyer, New York, New York, which notice of sale shall be in the form as recommended by the City's Bond Counsel. The Authorized Officer is hereby authorized on behalf of the City to award the sale of the Series 2020 Bonds to the bidder whose bid meets the requirements of law and the terms of the Official Notice of Sale as published.

The Authorized Officer is hereby authorized on behalf of the City to execute a Sale Order evidencing the final terms of the Series 2020 Bonds, and to take all other necessary actions required to effectuate the sale, issuance and delivery of the Series 2020 Bonds within the parameters authorized in this Ordinance.

Section 20. Tax Covenant; Qualified Tax Exempt Obligations. The Issuer shall, to the extent permitted by law, take all actions within its control necessary to maintain the exclusion of the interest on the Series 2020 Bonds from gross income for federal income tax purposes under the Internal Revenue Code of 1986, as amended (the "Code"), including, but not limited to, actions relating to any required rebate of arbitrage earnings and the expenditures and investment of Series 2020 Bond proceeds and moneys deemed to be Bond proceeds and to prevent the Series 2017 Bonds from becoming "private activity bonds" as that term is used in Section 141 of the Code. The Issuer hereby designates the Bonds as "not qualified tax-exempt obligations" for purposes of deduction of interest expense by financial institutions.

Section 21. Continuing Disclosure. The City covenants to enter into a continuing disclosure undertaking for the benefit of the holders and beneficial owners of the Bonds in accordance with the requirements of Rule 15c2-12 promulgated by the Securities and Exchange Commission, and the Authorized Officer is hereby authorized to execute such undertaking prior to delivery of the Series 2020 Bonds.

Section 22. Authorization of other Actions. The Authorized Officer is authorized and directed to (a) approve the circulation of a preliminary official statement describing the Series 2020 Bonds and to deem the preliminary official statement "final" for purposes of Rule 15c2-12 of the SEC; (b) approve the circulation of a final official statement describing the Series 2020 Bonds and to execute the same on behalf of the City; (c) solicit bids for and approve the purchase of a municipal bond insurance policy and a surety bond insurance policy for the Series 2020 Bonds; (d) obtain ratings on the Series 2020 Bonds; (e) make any necessary filings or applications with the Michigan Department of Treasury in connection with

the issuance of the Series 2017 Bonds; and (f) do all other acts and take all other necessary procedures required to effectuate the sale, issuance and delivery of the Series 2017 Bonds.

Section 23. Appointment of Bond Counsel. The appointment of the law firm of Clark Hill PLC of Detroit, Michigan, as Bond Counsel for the Bonds is hereby confirmed, notwithstanding the periodic representation in unrelated matters of parties or potential parties to the transaction contemplated by this resolution, including the purchaser.

Section 24. Municipal Advisor. MFCI LLC of Troy, Michigan is hereby appointed as the Registered Municipal Advisor with respect to the Bonds.

Section 25. Severability; Paragraph Headings; and Conflict. If any section, paragraph, clause or provision of this Ordinance shall be held invalid, the invalidity of such section, paragraph, clause or provision shall not affect any of the other provisions of this Ordinance. The paragraph headings in this Ordinance are furnished for convenience of reference only and shall not be considered to be part of this Ordinance.

Section 26. Publication and Recordation. This Ordinance shall be published in full in the ***Warren Weekly***, a newspaper of general circulation in the City, qualified under State law to publish legal notices, promptly after its adoption, and shall be recorded in the Ordinance Book of the Issuer and such recording authenticated by the signatures of the Mayor and City Clerk.

Section 27. Effective Date. Pursuant to the provisions of Section 6 of Act 94, this Ordinance shall be approved on the date of second reading and accordingly this Ordinance shall be effective upon its publication.

Adopted this 27th day of October 2020.

Signed: This _____day of November, 2020

Signed: _____
Mayor

Signed: _____
City Clerk

Effective upon Publication in the Warren Weekly on November 25, 2020

I hereby certify that the foregoing constitutes a true and complete copy of an Ordinance duly adopted on its second reading by the City Council of the City of Warren, County of Macomb, Michigan, at a Regular Meeting held on the 27th day of October, 2020, and that said meeting was conducted and public notice of said meeting was given pursuant to and in full compliance with the Open Meetings Act, being Act 267, Public Acts of Michigan, 1976, and that the minutes of said meeting were kept and will be or have been made available as required by said Act.

I further certify that the following Members were present at said meeting: _____

_____

_____

and that the following Members were absent: _____.

I further certify that Member_____ moved adoption of said Ordinance, and that said motion was supported by Member _____ .

I further certify that the following Members voted for adoption of said Ordinance:_____

_____

_____

and that the following Members voted against adoption of said Ordinance:_____.

I further certify that said Ordinance has been recorded in the Ordinance Book and that such recording has been authenticated by the signatures of the Mayor and City Clerk.

_____
City Clerk

# Appendix I

## MUNICIPAL BOND INSURANCE POLICY

ISSUER: [NAME OF ISSUER]

Policy No: _____

MEMBER: [NAME OF MEMBER]

BONDS: $_____ in aggregate principal amount of [NAME OF TRANSACTION] [and maturing on]

Effective Date: _____

Risk Premium: $_____
Member Surplus Contribution: $ _____
Total Insurance Payment: $_____

BUILD AMERICA MUTUAL ASSURANCE COMPANY ("BAM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") for the Bonds named above (as set forth in the documentation providing for the issuance and securing of the Bonds), for the benefit of the Owners or, at the election of BAM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the first Business Day following the Business Day on which BAM shall have received Notice of Nonpayment, BAM will disburse (but without duplication in the case of duplicate claims for the same Nonpayment) to or for the benefit of each Owner of the Bonds, the face amount of principal of and interest on the Bonds that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by BAM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of such principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in BAM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by BAM is incomplete, it shall be deemed not to have been received by BAM for purposes of the preceding sentence, and BAM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, any of whom may submit an amended Notice of Nonpayment. Upon disbursement under this Policy in respect of a Bond and to the extent of such payment, BAM shall become the owner of such Bond, any appurtenant coupon to such Bond and right to receipt of payment of principal of or interest on such Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under such Bond. Payment by BAM either to the Trustee or Paying Agent for the benefit of the Owners, or directly to the Owners, on account of any Nonpayment shall discharge the obligation of BAM under this Policy with respect to said Nonpayment.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent (as defined herein) are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity (unless BAM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration) and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment made to an Owner by or on behalf of the Issuer of principal or interest that is Due for Payment, which payment has been recovered from such Owner pursuant to the United States Bankruptcy Code in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means delivery to BAM of a notice of claim and certificate, by certified mail, email or telecopy as set forth on the attached Schedule or other acceptable electronic delivery, in a form satisfactory to BAM, from and signed by an Owner, the Trustee or the Paying Agent, which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount, (d) payment instructions and (e) the date such claimed amount becomes or became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer, the Member or any other person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

SPECIMEN

BAM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee, the Paying Agent, the Member and the Issuer specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee, the Paying Agent, the Member or the Issuer (a) copies of all notices required to be delivered to BAM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to BAM and shall not be deemed received until received by both and (b) all payments required to be made by BAM under this Policy may be made directly by BAM or by the Insurer's Fiscal Agent on behalf of BAM. The Insurer's Fiscal Agent is the agent of BAM only, and the Insurer's Fiscal Agent shall in no event be liable to the Trustee, Paying Agent or any Owner for any act of the Insurer's Fiscal Agent or any failure of BAM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, BAM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to BAM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy. This Policy may not be canceled or revoked.

This Policy sets forth in full the undertaking of BAM and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW. THIS POLICY IS ISSUED WITHOUT CONTINGENT MUTUAL LIABILITY FOR ASSESSMENT.

In witness whereof, BUILD AMERICA MUTUAL ASSURANCE COMPANY has caused this Policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By: _____
Authorized Officer

SPECIMEN

**Notices (Unless Otherwise Specified by BAM)**

Email:
claims@buildamerica.com
Address:
200 Liberty Street, 27th floor
New York, New York 10281
Telecopy:
212-962-1524 (attention: Claims)

SPECIMEN

**MICHIGAN**

**ENDORSEMENT TO**

**MUNICIPAL BOND INSURANCE POLICY**

**NO.**

This Policy is exempt from the filing requirements of MCL 500.2236.

Nothing herein shall be construed to waive, alter, reduce or amend coverage in any other section of the Policy. If found contrary to the Policy language, the terms of this Endorsement supersede the Policy language.

IN WITNESS WHEREOF, BUILDAMERICA MUTUAL ASSURANCE COMPANY has caused this policy to be executed on its behalf by its Authorized Officer.

BUILD AMERICA MUTUAL ASSURANCE COMPANY

By

_____

Authorized Officer

SPECIMEN

**$8,725,000**
**CITY OF WARREN**
**COUNTY OF MACOMB, STATE OF MICHIGAN**
**PUBLIC UTILITY SYSTEM REVENUE BONDS, SERIES 2020**